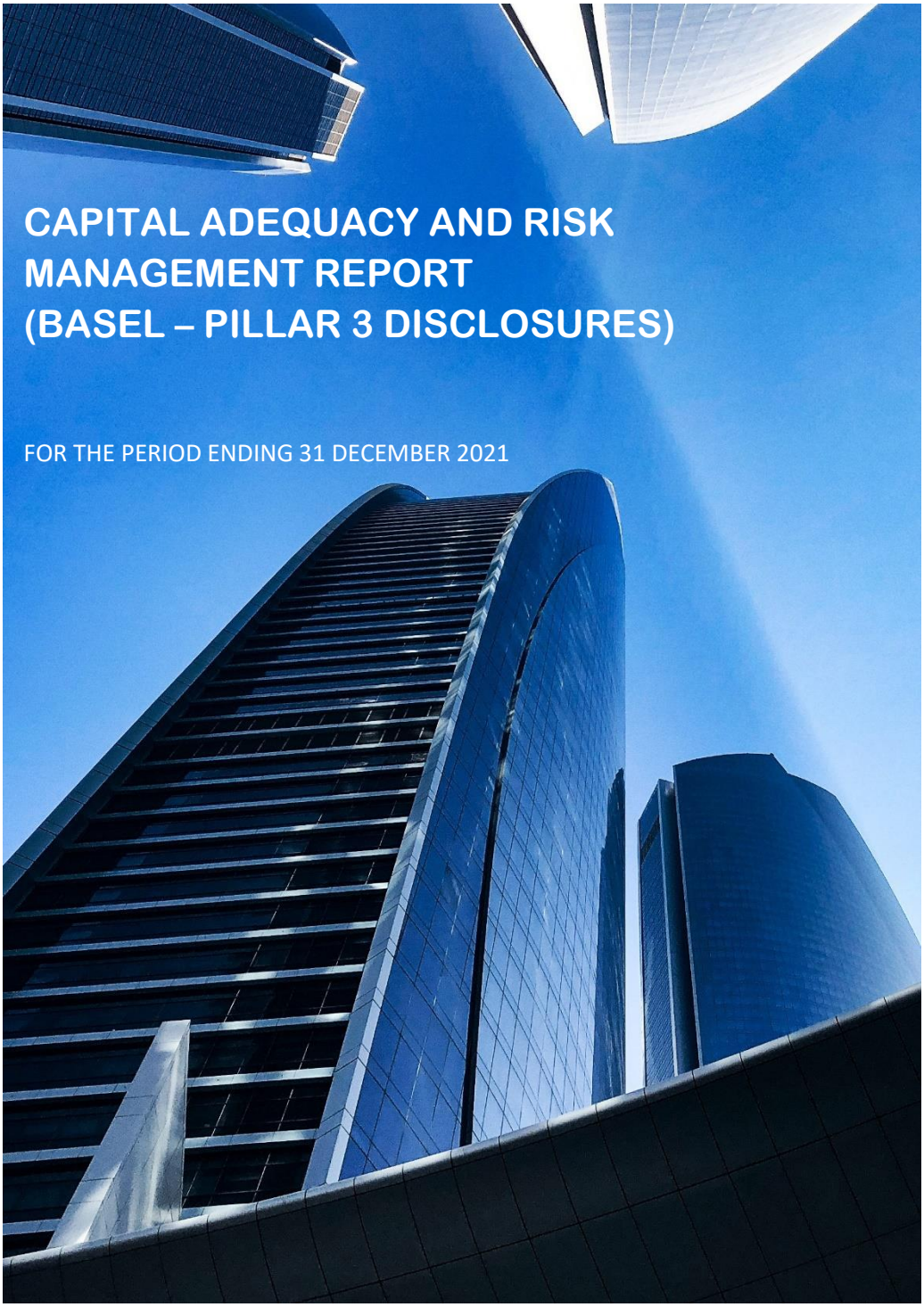


CAPITAL ADEQUACY AND RISK MANAGEMENT REPORT (BASEL – PILLAR 3 DISCLOSURES)

FOR THE PERIOD ENDING 31 DECEMBER 2021

بنـك أبـوظبـي الأول
FAB
First Abu Dhabi Bank

Classified : Public

Basel-III Pillar-3 Reports

Contents

1. Introduction to Bank's Capital adequacy framework 5

1.1 Regulatory Framework 5

1.2 Pillar 1 – Minimum Capital Requirement 5

1.3 Pillar 2 – ICAAP and Supervisory Review Process 8

1.4 Pillar 3 – Market Discipline 9

2. Overview of risk management and RWA 10

2.1 KM1: Key metrics (at consolidated group level) 10

2.2 OVA: Bank Risk Management Approach 12

2.3 OV1: Overview of RWA 21

3. Linkages between financial statements and regulatory exposures 22

3.1 LI1: Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories 22

3.2 LI2: Main sources of differences between regulatory exposure amounts and carrying values in financial statements 24

3.3 LIA: Explanations of differences between accounting and regulatory exposure amounts 25

4. Composition of capital 26

4.1 CC1: Composition of regulatory capital 26

4.2 CC2: Reconciliation of regulatory capital to balance sheet 31

4.3 CCA: Main features of regulatory capital instruments 33

5. Macroprudential Supervisory measures 36

5.1 CCyB1: Countercyclical Buffer 36

6. Leverage ratio 37

6.1 LR1: Summary comparison of accounting assets vs leverage ratio exposure 37

6.2 LR2: Leverage ratio common disclosure template 38

7. Liquidity 40

7.1 LIQA: Liquidity risk management 40

7.2 LIQ1: Liquidity Coverage Ratio (LCR) 42

7.3 LIQ2: Net Stable Funding Ratio (NSFR) 45

8. Credit risk 48

8.1 CRA: General qualitative information about credit risk 48

8.2 CR1: Credit quality of assets 50

8.3 CR2: Changes in stock of defaulted loans and debt securities 51

Classified : Public

8.4 CRB: Additional disclosure related to the credit quality of assets 52
8.4.1 Gross Credit Exposure by Geographical Distribution 54
8.4.2 Gross Credit Exposure by Industry Segment 55
8.4.3 Gross Credit Exposure by Residual Contract Maturity 56
8.4.4 Impaired Loans by Industry Segment 57
8.4.5 Impaired Loans by Geographical Distribution 58
8.4.6 Reconciliation of changes in Provisions for Impaired Loans 59
8.4.7 Aging Analysis of past-due exposures 59
8.4.8 Breakdown of restructured exposures 59
8.5 CRC: Qualitative disclosure requirements related to credit risk mitigation techniques 60
8.6 CR3: Credit risk mitigation techniques 63
8.7 CRD: Qualitative disclosures on banks' use of external credit ratings under the standardised approach for credit risk 64
8.8 CR4: Standardized approach - credit risk exposure and Credit Risk Mitigation (CRM) effects 66
8.9 CR5: Standardized approach - exposures by asset classes and risk weights 67
9. Counterparty credit risk 68
9.1 CCRA: Qualitative disclosure related to counterparty credit risk 68
9.2 CCR1: Analysis of counterparty credit risk (CCR) exposure by approach 69
9.3 CCR3: Standardized approach - CCR exposures by regulatory portfolio and risk weights 70
9.4 CCR5: Composition of collateral for CCR exposure 71
9.5 CCR6: Credit derivative exposures 72
9.6 CCR8: Exposures to central counterparties 73
10. Securitization 74
10.2 SEC1: Securitization exposures in the banking book 75
10.3 SEC4: Securitization exposures in the banking book and associated capital requirements - bank acting as investor 76
11. Market risk 77
11.1 MRA: General qualitative disclosure requirements related to market risk 77
11.2 MR1: Market risk under the standardized approach (SA) 81
12. Interest rate risk in the banking book 82
12.1IRRBBA: IRRBB risk management objectives and policies 82
12.2 IRRBB1: Quantitative information on IRRBB 84
13. Operational Risk 85
13.1 OR1: General qualitative information on a bank's operational risk framework 85

Classified : Public

14. Remuneration Policy 89
14.1 REMA: Remuneration policy 89
14.2 REM1: Remuneration awarded during the financial year 94
14.3 REM2: Special payments 95
14.4 REM3: Deferred remuneration 96

Classified : Public

1. Introduction to Bank's Capital adequacy framework

This document presents the Pillar 3 disclosures of FAB ("the Group") on a consolidated basis as at 31 December 2021. The purpose of Pillar 3 disclosures is to allow market participants to assess key pieces of information on the firm's capital, risk exposures and risk assessment process.

The Group is regulated by the Central Bank of UAE (CBUAE) and follows the Pillar 3 disclosure requirements as stated under the CBUAE guidelines, issued in November 2020, on the implementation of Basel III standards. CBUAE also initiated Basel III regulatory reporting in 2017 with new capital standards for UAE Banks.

The Pillar 3 disclosures are to be read in conjunction with the Audited Financial Statements as of 31 December 2021.

1.1 Regulatory Framework

The Group assesses its capital adequacy based on the updated Basel III regulations published by the CBUAE vide notice no. CBUAE/BSD/N/2020/4980 in Nov 2020. The framework is structured around the following three Pillars:

- Pillar 1 on minimum capital requirements for credit, market and operational risk
- Pillar 2 on the supervisory review process and the Internal Capital Adequacy Assessment Process (ICAAP)
- Pillar 3 on market discipline

1.2 Pillar 1 – Minimum Capital Requirement

The Group is governed by CBUAE guidelines on regulatory capital requirements on a consolidated basis, including all its subsidiaries and overseas branches. In addition to capital management at Group level, the overseas branches and subsidiaries are also supervised by their local regulators for operations carried out by those specific entities. Pillar 1 defines the total minimum capital requirements for credit, market and operational risk. FAB currently uses standardized approach for assessment of Credit, Market and Operational Risk weighted assets (RWA). Under the standardized approach, regulatory prescribed risk weights and parameters are applied to calculate Pillar 1 capital requirements.

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of revised regulatory capital rules known as "Basel III", which are being phased in globally. Subsequent to Basel III consultation paper issued by CBUAE in 2016, the UAE Central Bank published the "Regulations re Capital Adequacy" (the "Basel III Regulations"), which were effective from 1 February 2017. The Basel III Regulations are supported by the accompanying standards entitled "Standards for Capital Adequacy of Banks in the UAE" which were updated by the UAE Central Bank in November 2020 by virtue of Notice No. CBUAE/BSD/N/2020/4980 (the "Accompanying Standards"). The Accompanying Standards elaborate on the supervisory expectations of the UAE Central Bank with respect to the relevant Basel III capital adequacy

Classified : Public

requirements as well as the timeline of the phased implementation of the regulations from June 2021 to June 2022.

CBUAE has put in regulatory thresholds for Common Equity Tier 1, Tier 1 and overall regulatory Capital.

1. CET1 must be at least 7.0% of risk weighted assets (RWA);
2. Tier 1 Capital must be at least 8.5% of RWA;
3. Total Capital, calculated as the sum of Tier 1 Capital and Tier 2 Capital, must be at least 10.5% of RWA.

On top of this minimum capital requirement CBUAE has also mandated the Banks to keep additional buffers.

1. In addition to the minimum CET1 capital of 7.0% of RWA, banks must maintain a capital conservation buffer (CCB) of 2.5% of RWAs in the form of CET1 capital
2. To achieve the broader macro-prudential goal of protecting the banking sector from periods of excess aggregate credit growth and in addition to the CCB requirements, banks may be required to implement the countercyclical buffer (CCyB). Banks must meet the CCyB requirements by using CET1 capital. The level of the CCyB requirements will vary between 0% - 2.5% of RWA and be communicated by the Central Bank with an adequate notice period.
3. Banks classified as domestically systemically important banks will be required to hold additional capital buffers the level for which may vary as per the size of the Bank and would be decided by CBUAE. The requirement for FAB for D-SIB buffer is 1.5% of RWA in the form of CET1.

These requirements are summarized in the table below:

Capital Element	Requirement
Minimum Common Equity Tier 1 Ratio	7.0%
Minimum Tier 1 Capital Ratio	8.5%
Minimum Capital Adequacy Ratio	10.5%
Capital Conservation Buffer	2.5%
Domestic Systemically Important Banks Buffer (FAB)	1.5%
Countercyclical buffer (0% - 2.5%)	0%

Further, as part of the TESS relief provided by the UAE Central Bank in response to COVID-19, the Bank is able to fully utilise its 1.50 % D-SIB buffer and 60% of its capital conservation buffer without supervisory consequences until 30 Jun 2022.

CBUAE has also released revised Capital standards for Basel III capital instruments. Capital instruments that no longer qualify as non-common equity Tier 1 or Tier 2 capital will be phased out over 10 years starting from January 2018.

Classified : Public

The capital ratios for the Group as of 31 Dec 2021 are given below. All of these are well above the CBUAE minimum.

Common Equity Tier 1 Ratio	**12.4%**
Tier 1 Capital Ratio	14.3%
Capital Adequacy Ratio	15.4%

a) Credit Risk

The Group uses the standardized approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per the CBUAE guidelines for capital adequacy which can range between 0% for certain sovereign exposures to 952% for certain categories (akin to deduction). Where applicable, mainly for unfunded, exposures are adjusted for credit conversion factor (CCF) in accordance with the CBUAE guidelines. For non-retail exposures the risk weights are driven by credit ratings published by external credit agencies approved by the CBUAE.

The Group uses the comprehensive approach for credit risk mitigation to calculate its net exposure amount to a counterparty for capital adequacy purposes in order to take account of the effects of the collateral. Using haircuts, the Bank adjusts both the amount of the exposure to the counterparty and the value of any collateral received in support of that counterparty to take account of possible future fluctuations in the value of either, occasioned by market movements.

The Group uses the Standardized Approach to calculate RWA for Counterparty credit risk (CCR) by (i) calculating the Exposure At Default (EAD) for each netting set (group of contracts with a single counterparty subject to a legally enforceable agreement for net settlement, and satisfying all of the conditions for netting sets specified by CBUAE) associated with a counterparty, (ii) summing EAD across netting sets for that counterparty, (iii) calculating risk-weighted EAD by multiplying the total EAD for a counterparty by the risk-weight corresponding to the exposure class to which that counterparty belongs under general risk-based capital requirements, (iv) summing the resulting risk-weighted EAD across all counterparties within a given exposure class and (v) summing across exposure classes.

The Group uses Mandate-based approach (MBA) for computing RWA for Equity Investments in Funds (EIF) by using the information as per fund's mandate or in the relevant regulations governing such investment funds to perform a conservative calculation of the applicable risk weights for the assets of the fund.

The Securitization exposures are risk-weighted under the Securitization External Ratings Based Approach (SEC-ERBA).

The Group is required to calculate RWA for Credit Valuation Adjustment (CVA) from Q2 2022 onwards vide notice no. CBUAE/BSD/N/2020/4980. Under the standardized approach the calculation relies on regulatory measures of counterparty credit risk exposure, and recognizes the impact of differences in maturity, as well as adjustments to reflect certain common hedging activities that banks use to manage CVA risk.

Classified : Public

b) Market Risk

The Group uses the standardized approach to calculate RWA for market risk as per the CBUAE guidelines. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book. The risk is quantified for positions for Interest rate risk, Foreign exchange risk, Equity investments risk, Commodities exposure risk and Options risk.

c) Operational Risk

The Group applies the standardized approach for calculating capital requirement for operational risk. The calculation is based on average operating income for the past 3 years and classification of the operating income into 8 Basel classification lines - Corporate Finance, Trading and Sales, Payment & Settlement, Commercial Banking, Agency Services, Retail Brokerage, Retail Banking and Asset Management. Capital requirement is calculated for each of the business lines as per their respective multipliers as per BIS which range from 12% to 18%. The RWA for operational risk are calculated by dividing the capital requirement by CBUAE capital requirement multiplier.

1.3 Pillar 2 – ICAAP and Supervisory Review Process

The ICAAP at FAB is considered as an essential tool to address all current and potential material risks – as assessed by the Group's risk governance and internal control framework, capital planning and management framework, and strategic planning process. The Group ensures that it not only satisfies the minimum regulatory capital requirements of CBUAE but also maintains appropriate internal capital levels in line with the current and anticipated capital requirements and to withstand stress scenarios. Key highlights of ICAAP are as below:

- Business background & Group structure
- Business model
- Governance and Risk management arrangements
- Risk appetite
- Risk assessment and disclosures
- Business strategy & financial projections
- Stress testing and scenario analyses

Risk Appetite - Risk Appetite of a bank is the single most important factor in determination of risk tolerance and setting risk target and risk limits across various dimensions and risk types. The risk appetite framework for FAB has been developed using the top down approach. The entire risk appetite framework has been designed & implemented through three-tiered mechanism for Group Level, Business and Support Groups, Business Sub-units, and Embedding and implementation of Risk Appetite.

Risk assessment and disclosures - Analysis of risk-bearing capacity of an institution needs clear classification & assessment of all of its material risks and their aggregation at appropriate levels. These not only include Pillar I risks (credit risk, market risk and operational

Classified : Public

risk) but other Pillar II risks as well viz. concentration risk, interest rate risk in the banking book, liquidity risk, strategic risk, etc. FAB assesses the capital requirement for Pillar II risks using different methodologies / scorecards as per the Pillar II & Stress testing methodology document. It also performs an internal assessment of the Pillar I risks using alternative methodologies to evaluate its adequacy.

Business strategy & financial projections - Senior management of the Group is involved in setting the direction through strategy planning / budgeting sessions that are held on a regular basis. All business and support functions are involved in the process. Five-year CAR projections are performed to ensure that the Group has sufficient capital to meet anticipated and contingent requirements driven by current and future business strategy.

Stress testing and scenario analyses - In line with international best practices, FAB has a comprehensive stress testing framework in place, which is governed by the ICAAP Policy and Pillar II & Stress testing Methodology, approved by GRC and BRCC. The Group conducts regular stress test exercises to assess the resilience of the group to adverse market developments under stress scenarios. The risk factors are shocked using the assumptions made under the respective scenarios and the corresponding impact on the capital adequacy is determined. The Group uses various macroeconomic and idiosyncratic stress tests in order to project capital need and capital levels under various stress scenarios.

Governance - Group Risk Management is responsible for the preparation of ICAAP report along with support from different departments like Finance, Strategy, Credit, Other Business and Support Units etc. The final report is presented / circulated to the GRC and BRCC members for their review and approval as part of ICAAP submission process. Any challenge / feedback from GRC and BRCC members are duly noted and incorporated in the report which is then submitted to CBUAE. The report is independently reviewed by Internal audit on an annual basis, while the Framework including the methodologies, computations and assumptions are externally validated every three years as per CBUAE guidelines.

1.4 Pillar 3 – Market Discipline

The Group discloses to its external stakeholders a detailed qualitative and quantitative information on its risk management practice and capital adequacy in line with the CBUAE Pillar 3 guidelines. Pillar 3 complements the Pillar 1 - minimum capital requirements and the Pillar 2 – ICAAP and supervisory review process. The purpose of Pillar 3 disclosures is to enhance market discipline through disclosure requirements which allows market participants to assess the risk exposures of the Bank around capital, material risk exposures and internal risk assessment processes and mitigation strategies, and hence assess the strength of the Bank. The disclosures are both qualitative and quantitative and have been prepared at the FAB group level. The reporting frequency of the revised set of disclosures has been defined by CBUAE

Classified : Public

2. Overview of risk management and RWA

2.1 KM1: Key metrics (at consolidated group level)

All numbers in AED 000s

		31-Dec-21	30-Sep-21	30-Jun-21	31-Mar-21	31-Dec-20
	Available capital (amounts)					
1	Common Equity Tier 1 (CET1)	71,995,317	74,288,348	71,440,262	68,838,719	67,008,320
1a	Fully loaded ECL accounting model	71,831,997	73,769,061	70,564,153	67,843,256	66,100,524
2	Tier 1	82,750,067	85,043,098	82,195,012	79,593,469	77,763,070
2a	Fully loaded ECL accounting model Tier 1	82,586,747	84,523,811	81,318,903	78,598,006	76,855,274
3	Total capital	88,982,629	91,170,240	88,410,597	85,317,097	83,560,365
3a	Fully loaded ECL accounting model total capital	88,819,309	90,650,953	87,534,488	84,321,634	82,652,569
	Risk-weighted assets (amounts)					
4	Total risk-weighted assets (RWA)	578,995,264	572,782,777	548,250,281	504,142,837	505,339,747
	Risk-based capital ratios as a percentage of RWA					
5	Common Equity Tier 1 ratio (%)	12.4%	13.0%	13.0%	13.7%	13.3%
5a	Fully loaded ECL accounting model CET1 (%)	12.4%	12.9%	12.9%	13.5%	13.1%
6	Tier 1 ratio (%)	14.3%	14.8%	15.0%	15.8%	15.4%
6a	Fully loaded ECL accounting model Tier 1 ratio (%)	14.3%	14.8%	14.8%	15.6%	15.2%
7	Total capital ratio (%)	15.4%	15.9%	16.1%	16.9%	16.5%
7a	Fully loaded ECL accounting model total capital ratio (%)	15.3%	15.8%	16.0%	16.7%	16.4%
	Additional CET1 buffer requirements as a percentage of RWA					
8	Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9	Countercyclical buffer requirement (%)	0.01%	0.01%	0.01%	0.01%	0.01%
10	Bank D-SIB additional requirements (%)	1.50%	1.50%	1.50%	1.50%	1.50%
11	Total of bank CET1 specific buffer requirements (%) (row 8 + row 9+ row 10)	4.01%	4.01%	4.01%	4.01%	4.01%
12	CET1 available after meeting the bank's minimum capital requirements (%)	4.87%	5.42%	5.63%	6.42%	6.04%

Classified : Public

		31-Dec-21	30-Sep-21	30-Jun-21	31-Mar-21	31-Dec-20
	Leverage Ratio					
13	Total leverage ratio measure	1,132,340,411	1,109,425,161	1,075,264,129	1,066,689,810	1,047,809,969
14	Leverage ratio (%) (row 2/row 13)	7.31%	7.67%	7.64%	7.46%	7.42%
14a	Fully loaded ECL accounting model leverage ratio (%) (row 2a/row 13)	7.29%	7.62%	7.56%	7.37%	7.33%
14b	Leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	7.31%	7.67%	7.64%	7.46%	7.42%
	Liquidity Coverage Ratio					
15	Total HQLA	359,727,822	342,525,522	321,145,349	325,119,284	335,092,699
16	Total net cash outflow	269,918,432	268,090,129	239,547,440	221,860,531	237,389,080
17	LCR ratio (%)	133.27%	127.77%	134.06%	146.54%	141.16%
	Net Stable Funding Ratio					
18	Total available stable funding	495,937,928	488,332,573	467,196,821	469,901,201	466,142,787
19	Total required stable funding	474,335,668	469,292,139	444,280,422	434,907,056	441,296,454
20	NSFR ratio (%)	104.55%	104.06%	105.16%	108.05%	105.63%

As part of the TESS relief provided by the UAE Central Bank in response to COVID-19, the Bank is able to fully utilise its 1.50 % D-SIB buffer and 60% of its capital conservation buffer without supervisory consequences until 30 June 2022.

Classified : Public

2.2 OVA: Bank Risk Management Approach

Group business model and overall risk profile

FAB's business model focuses on core banking activities including Corporate & Investment Banking, Personal Banking Group, Treasury and Islamic banking activities. The revenue streams are diversified in terms of its customer base, product & service offerings and geographic footprint to generate robust and stable revenue stream. FAB has active international presence across 17 countries (outside of the UAE) through affiliate entities, branches, representative offices and subsidiaries. with a clear focus on enhancing its foothold in select growth markets with the intent of maintaining its growth levels and delivering acceptable returns to shareholders. FAB also maintains a strong capital base and liquidity position to have a solid foundation for future growth & investment. FAB's risk management framework ensures active risk participation in business decisions across all business areas.

The operating structure consists of four key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance.
During the year, the Group has reorganized its business model so that Corporate & Investment Banking and Personal Banking groups have been re-segmented into four distinct business lines: Investment Banking, Corporate & Commercial Banking, Consumer Banking and Private Banking. This will reposition the Group's businesses to be more customer centric and enable specialist product and service propositions aligned to the respective customer bases the Group services to drive competitive advantage and enhance revenue generation capabilities.

Investment Banking (IB) offers banking and financing solutions, including corporate & Islamic finance, capital markets, transaction banking, trade, liquidity and cash management services along with a broad range of risk management solutions across credit, rates, FX and money market products. Focused on Institutional clients, IB team enhances product delivery and specialization across various customer sectors which includes Government, Sovereign & Public Sector, Sovereign Wealth Fund & Financial Sponsors, Natural Resources, Global Diversified Industrials, Financial Institutions Group & Global Subsidiaries

Corporate and Commercial Banking (CCB) focuses on large corporates, medium and small entities with diversified products offering across sub segments which includes Corporate Banking, Contracting, Commercial Banking and Privileged Client Group

Consumer Banking (CB) targets consumer & elite segment across conventional and Islamic sector. The products' ranges offered include everyday banking products such as current accounts, deposits, credit cards, loans, wealth products etc. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, direct sales agents and through its banking subsidiaries namely First Abu Dhabi Islamic Finance

Global Private Banking (GPB) targets affluent and high net-worth customers across conventional and Islamic sector. The products' ranges offered include everyday banking products plus sophisticated investment solutions, brokerage and securities services. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, relationship managers and through its banking subsidiaries including mainly FAB Securities

Geographic segments The Group is managing its various business segments through a network of branches, subsidiaries and representative offices within the two defined geographic segments which are UAE and International

Classified : Public

Information on Subsidiaries & Significant investments

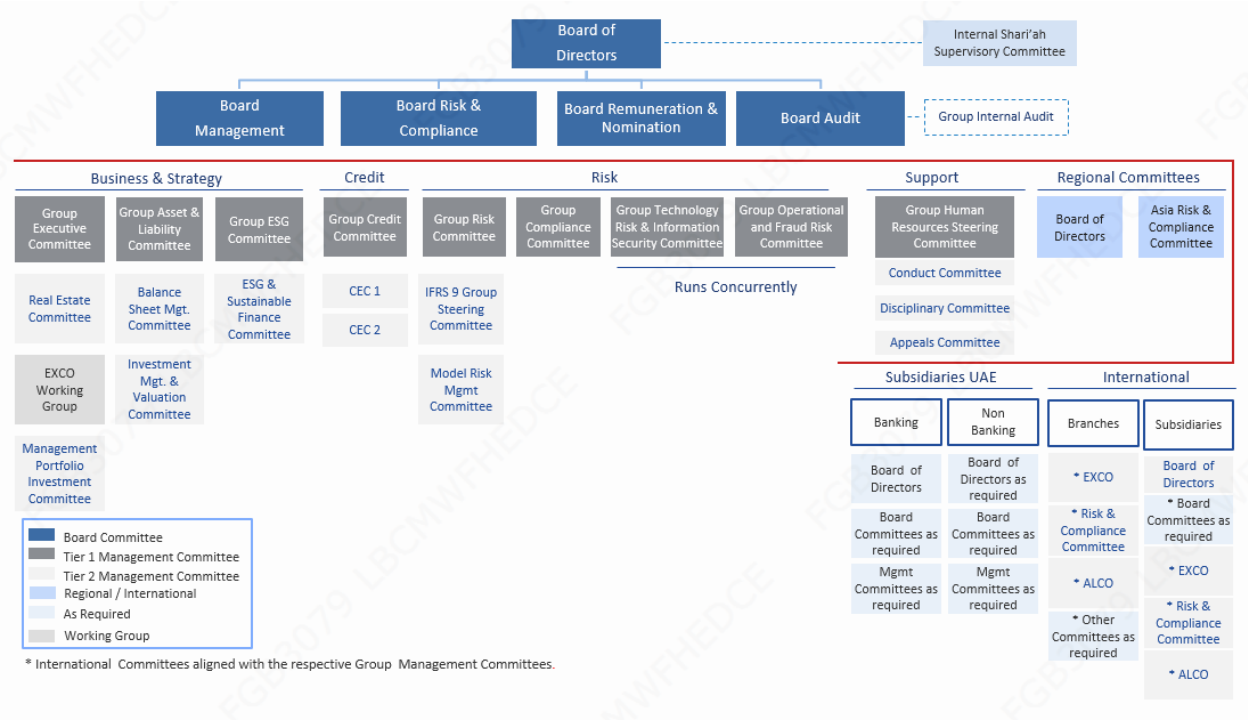
	Country of Incorporation	% Ownership	Description	Accounting Treatment	Regulatory Capital treatment
Subsidiaries					
First Abu Dhabi Bank USA N.V.	Curacao	100%	Banking	Full Consolidation	Full Consolidation
FAB Securities LLC	United Arab Emirates	100%	Brokerage	Full Consolidation	Full Consolidation
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Full Consolidation	Full Consolidation
Abu Dhabi National Properties Pvt. JSC	United Arab Emirates	100%	Property Management	Full Consolidation	Full Consolidation
FAB Private Bank (Suisse) SA	Switzerland	100%	Banking	Full Consolidation	Full Consolidation
First Abu Dhabi Islamic Finance PJSC	United Arab Emirates	100%	Islamic Finance	Full Consolidation	Full Consolidation
Abu Dhabi Securities Brokerage Egypt	Egypt	96%	Brokerage	Full Consolidation	Full Consolidation
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares and Securities	Full Consolidation	Full Consolidation
SAS 10 Magellan	France	100%	Real Estate Brokerage	Full Consolidation	Full Consolidation
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Full Consolidation	Full Consolidation
FAB Global Markets (Cayman) Limited	Cayman Islands	100%	Financial Institution	Full Consolidation	Full Consolidation
Nawat Management Services - One Man Company LLC	United Arab Emirates	100%	Services	Full Consolidation	Full Consolidation
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	100%	Real estate investments	Full Consolidation	Not Consolidated
Moora Properties Co. LLC (Subsidiary of Mismak)	United Arab Emirates	67%	Real estate investments	Full Consolidation	Not Consolidated
First Merchant International LLC (FMI)	United Arab Emirates	100%	Real estate investments	Full Consolidation	Not Consolidated
FAB Employment Services LLC (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing services	Full Consolidation	Not Consolidated
FAB Resourcing Services LLC (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing services	Full Consolidation	Not Consolidated
FAB Sukuk Company Limited	Cayman Islands	100%	Special purpose vehicle	Full Consolidation	Full Consolidation
First Gulf Libyan Bank	Libya	50%	Banking services	Full Consolidation	Full Consolidation
FAB Properties LLC	United Arab Emirates	100%	Management and brokerage of real estate properties	Full Consolidation	Not Consolidated
First Gulf Information Technology LLC (FGIT)	United Arab Emirates	100%	IT Services	Full Consolidation	Full Consolidation
FAB Investment KSA (single Shareholder LLC)	Kingdom of Saudi Arabia	100%	Financial Institution	Full Consolidation	Full Consolidation
FAB Global Business Services Limited (Subsidiary of FGIT)	India	100%	IT Services	Full Consolidation	Full Consolidation
Magnati Sole Proprietorship LLC	United Arab Emirates	100%	Payment Services	Full Consolidation	Full Consolidation
Bank Audi SAE	Egypt	100%	Banking	Full Consolidation	Full Consolidation
Significant Investments					
Midmak Properties LLC (through Mismak)	United Arab Emirates	16%	Real Estate Management / Investments	Equity	Not Consolidated
Mercury Payments Services LLC	United Arab Emirates	30%	Investments and Payment Service Schemes	Equity	Equity
Emirates Digital Wallet LLC	United Arab Emirates	23%	Financial Institution	Equity	Equity

Classified : Public

Group Risk Governance

The FAB Board is the principal decision-making forum for the Bank. Its responsibilities are set out in the Board Charter and includes approving the strategy, annual budget and organization structure; setting its risk appetite and risk management strategy; monitoring financial performance; establishing the corporate governance framework; and approving the company's corporate values. Setting the tone at the top is a critical part of the Board's role. Defining the values and, along with senior management, leading by example, are ways of ensuring that the organization will Grow Stronger through a shared set of values that cascade throughout the organization and is embodied in daily interactions between employees. This will facilitate the constant drive to enhance customer service across all business lines. The Board is also responsible for providing oversight and effective challenge to senior management across a range of matters including its execution of the agreed strategy and for Board and executive management succession planning.

The role of the Group CEO and the executive management team is to execute the agreed business strategy within the agreed risk appetite. It is also the responsibility of the executive team to develop a mechanism by which FAB's vision, values and behaviors are successfully shared, communicated and embedded in the business. Much of this is achieved through the work of the Executive Committee and other senior Management Committees. The executive management team is also responsible for timely and accurate reporting to the Board and Board Committees and for the escalation of appropriate information or items. The following exhibit is a diagrammatic representation of the Board and Committee Structure within FAB Group, including its international operations.



1. Board Committees

a) The Board Management Committee (BMC)

Classified : Public

The BMC approves and oversees execution of the FAB Group's business plan per the strategy approved by the Board and oversees and reviews material aspects of the business of the FAB Group. The Committee meets quarterly or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

b) The Board Audit Committee (BAC)

The BAC ensures oversight of the effectiveness of the internal control systems and the quality and integrity of financial statements and financial reporting. In addition, it reviews, approves and oversees the internal and external audit programs and ensures coordination between internal and external auditors. The Group Chief Audit Officer ("GCAO") provides reports to the Committee on internal controls and the Head of Compliance reports direct to the BAC on compliance related matters such as whistleblowing. The Committee meets quarterly or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

c) The Board Remuneration and Nomination Committee (REMCO)

The REMCO recommends and oversees the appointment and termination of Group Board Directors and succession planning for the Group Executive Committee members. This includes an assessment of the skills, knowledge and expertise needed to ensure they are positioned to discharge their responsibilities in the interests of the shareholders and FAB Group. The Committee also reviews and recommends to the Board FAB's reward policy framework, approves and oversees reward design and ensures it is appropriate and consistent with the FAB Group's culture, values, business performance and risk strategy. The Committee meets at least twice a year or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

d) The Board Risk and Compliance Committee (BRCC)

The BRCC provides oversight and advice to the Group Board in relation to current and potential future risk and compliance exposures of the FAB Group. It also considers and helps direct future risk strategy, including determination of risk appetite and tolerance as well as promote a risk and compliance awareness culture among the Group. The Committee meets quarterly or more frequently as deemed necessary. The bank's risk management function has a direct reporting line to the BRCC through the Group Chief Risk Officer. Compliance has a direct reporting line on compliance related matters through the Head of Compliance. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

2. Management Committees

a) Group Executive Committee (Group EXCO)

The Group Executive Committee ("Group EXCO") is FAB Group's senior most management level committee and it operates under a delegated authority from the FAB Board. It is responsible for identifying matters required or appropriate for escalation to the Group Board or Board Committees. The Group EXCO also supports the Group CEO to determine and implement the Bank's strategy as approved by the FAB Board.

The key responsibilities of the Committee include decisions on the Bank's strategy, annual budgets, capital management, risk management and FAB's more material policies and procedures. The Group EXCO may delegate certain authorities and powers to management committees and individuals, but the Group EXCO reserves the authority to deal with strategy, annual budget and structure; financial reporting and controls; capital management; risk and internal control; contracts; corporate

Classified : Public

governance matters; executive remuneration and human resources policies, and group policies generally and any other matters in its discretion other than matters reserved to the Board. The composition, guiding principles and detailed roles & responsibilities are covered in the Group EXCO Charter.

b) Group Risk Committee (GRC)

GRC Oversees the Group-wide risk strategy and exposures to enable integrated risk management in an effective manner. The primary objective of GRC is to define, develop and periodically monitor the Group's risk appetite along with its related methodology, parameters, targets and tolerances taking into account the Bank's strategy and business planning. GRC reports relevant matters to the EXCO and BRCC as appropriate, advising and informing them on the Group's risk appetite and framework. The composition, guiding principles and detailed roles & responsibilities are covered in the GRC Charter.

c) Group Compliance Committee (G-Compliance)

Assists the BRCC in fulfilling its objective of overseeing the Bank's regulatory responsibilities as well as ensuring the Bank's compliance with the applicable laws and regulations issued by various regulatory authorities across the Group. The Committee also oversees that the relevant policies and procedures, including, but not limited to the Group Code of Ethics are complied with across the Group. The composition, guiding principles and detailed roles & responsibilities are covered in the G- Compliance Charter

d) Group Credit Committee (GCC)

GCC assists in the development and implementation of the Bank's credit, investment strategy and the related policies and procedures. The aim of GCC is to have an overall credit oversight of the Group and decide on credit policy and governance related matters. The composition, guiding principles and detailed roles & responsibilities are covered in the GCC Charter.

e) Group Asset & Liability Committee (G-ALCO)

The G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. It is directly accountable to the BRCC for ensuring that the risks within the Group's asset and liability position are prudently managed. The composition, guiding principles and detailed roles & responsibilities are covered in the GALCO Charter.

f) HR Steering Committee (HRSC)

HRSC assists the Group EXCO and the REMCO to implement strategic and operational HR initiatives to deliver the Group's long-term shareholder value. The Committee will be the formal sponsor of all material HR initiatives across the Bank in line with the Bank's Employee Value Proposition ("EVP"). The composition, guiding principles and detailed roles & responsibilities are covered in the HRSC charter.

g) Group ESG Committee (G-ESGC)

G-ESGC assists the Board Risk and Compliance Committee ("BRCC"). G-ESGC is the senior authority at management level for decision making on all ESG related matters of the Group. The primary objective of the G-ESGC is to promote and oversee the ESG strategy, culture, and awareness across FAB Group. The composition, guiding principles and detailed roles and responsibilities are covered in the G-ESGC charter.

Classified : Public

h) Group Operational & Fraud Risk Committee (GOFRC)

Assists the Group EXCO and the Board Risk and Compliance Committee ("BRCC") in fulfilling the Bank's Operational and Fraud Risk Management. The key responsibilities of this committee are to define guidelines to identify and manage Operational & Fraud risks in all new products, processes, and activities, defining scope, policy, objectives, assumptions, and roles / responsibilities of the Group's Operational & Fraud Risk Management Policies. The composition, guiding principles and detailed roles & responsibilities are covered in the GOFRC charter.

i) Group Technology Risk & Information Security Committee (GTRISC)

GTRISC assists the Group EXCO and the Board Risk and Compliance Committee ("BRCC"). The primary objectives of the GTRISC are: overseeing, reviewing and taking decisions on Technology, Information Security, Data Privacy and Business Continuity Management (BCM) related risk management status and health, including its alignment to the risk appetite of the FAB Group. The composition, guiding principles and detailed roles & responsibilities are covered in the GTRISC charter.

j) Group Technology Steering Committee (GTSC)

GTSC assists in fulfilling Group EXCO's corporate governance and oversight responsibilities of all technology and information systems across the FAB Group and supports the work of the BRCC in its oversight of the Group IT governance framework. The GTSC ensures alignment of business strategies with technology priorities and acts to protect and enhance the shareholders' investment in technology. The composition, guiding principles and detailed roles and responsibilities of GTSC are covered in the GTSC charter.

Group Risk

FAB has a centralized risk management function – Group Risk Management which is led by the GCRO. The function comprises of Enterprise Risk Management Unit, Credit Risk Management Unit, Environmental, Social and Governance (ESG) Unit, Operational Risk Management Unit, Fraud Risk Management Unit, Enterprise Risk Solutions, Market & Liquidity Risk Management Unit, Information Security & Business Continuity Management and Corporate Governance. It is the nerve center for collection of data, analysis of risk drivers, interpretation of outcome and its wide dissemination to relevant committees for risk management. Following diagram provides Group Risk Organization Structure at FAB.



The Three Lines of Defence

FAB manages risks using three lines of defense comprising of business units and enabling functions, control units and Internal Audit. Business units and enabling functions, as the first line of defense, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's

Classified : Public

risk appetite and are in compliance with all relevant internal policies and processes. Group Credit, Group Risk and Legal and Group Compliance, as the second line of defense, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defense. The Group Chief Risk Officer ("GCRO") has a direct reporting line to the BRCC to ensure the independence of Group Risk from business. Internal audit, as the third line of defense, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defense. The Group Chief Audit Officer has a direct reporting line to the Board Audit Committee.

Risk measurement systems

As a part of Pillar I risks, FAB manages its credit risk in accordance with well-established credit risk policies through regular credit reviews of customers and active monitoring of the credit portfolio. FAB manages its market risk exposures in accordance with its market risk policies. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate, credit spread, equity prices and commodity prices. FAB has recognized operational risk as a separate focus area and has designed and adopted systems for automation of key operational risk processes e.g. Key Risk Indicators (KRIs), Risk Control Self assessment (RCSA), operational risk losses.
FAB complies with the Basel Standardized approach for assessment of Risk Weighted Assets (RWA) for Credit, Market and Operational Risk and Capital requirements and maintains optimal capital adequacy as per its risk Appetite. FAB considers Credit Concentration risk, Liquidity risk, Interest rate risk, Strategic risk, Compliance risk and Reputational risk as material Pillar II risks. FAB manages credit concentration risk through diversification of lending activities and compliance with comprehensive risk appetite limits framework that have been put in place. FAB manages Liquidity & Interest Rate Risk in Banking Book (IRRBB) risk within the ambit of Asset and Liability Management (ALM) policy. FAB's exposure to interest rate risk is managed through hedging and monitoring the re-pricing of assets and liabilities through risk management strategies. Other material risks including strategic risk, compliance risk and reputational risk, these are managed through comprehensive policies & procedures and well-established processes for assessment, monitoring and mitigation of these risks.

Risk Appetite

Risk Appetite of a bank is the single most important factor in determination of risk tolerance and setting risk target and risk limits across various dimensions and risk types. It reflects an organization's risk management philosophy and in turn influences its culture and operating style. Risk Appetite, if properly articulated, understood and implemented proves to be the cornerstone of an organization's ERM framework. The risk appetite framework for FAB has been developed using the top-down approach.

The entire risk appetite framework has been designed & implemented through three-tiered mechanism. This methodology has been approved by the Group Risk Committee (GRC) and the Board Risk and Compliance Committee (BRCC). As per this methodology FAB has adopted a three-tiered structure for the Risk Appetite Framework. The brief description of the three-tiered structure is given hereunder:

1. **Tier 1 – Group level:** This level pertains to the risk appetite at the FAB level which includes business groups, support groups and material subsidiaries. A comprehensive set of risk & performance metrics have been provided; these have been classified as primary metrics, and monitoring metrics. In addition, there are some qualitative and zero tolerance metrics articulated at FAB level.

Classified : Public

2. **Tier 2 – Business and Support groups:** The group level risk appetite is cascaded down to the individual business groups (Investment Banking, Corporate, Commercial & International Banking, Consumer Banking and Private Banking)

3. **Tier 2.5 – Business Sub unit:** Risk appetite is further cascaded down one level (referred to as Tier 2.5) to International Locations, business sub units or sub segments. For example, in the context of Consumer Banking, Tier 2.5 encapsulates the different revenue segments and products. Cascading down to Tier 2.5 is done for the purpose of monitoring and managing risks at a more granular level and better performance assessment within business units. International Locations are not cascaded down to the individual business group, business sub-units or sub segments.

4. **Tier 3 – Embedding and implementation of risk appetite:** In order to implement the RAF, the above-mentioned risk appetite metrics are going to be embedded in respective policies and procedures, KPIs and balance scorecards and reporting which is referred to as Tier 3 of the RAF of FAB Group. This is extremely important to ensure that the risk appetite is implemented by the business units as a "first line of defense" in the overall risk governance framework of the Group. The implementation of Risk Appetite would be manifested in the Target Market ("TM") and Risk Acceptance Criteria ("RAC"), which are central to the portfolio planning activity at the Group.

Specific dimensions that are considered to implement the target risk taking approach include Capital Adequacy, Financial Performance and Efficiency, Liquidity and Funding, Credit asset quality, Risk Concentration, Risk assessment, Operational Efficiency, Market risk exposures, information security and human resources. Specific tolerances are defined as targets and actual vs. target levels are monitored on a periodic basis. The target levels are reflective of the prudent risk management practices, regulatory requirements and market realities in different jurisdictions in which FAB is operating.

Monitoring and Management of Breaches
Group Risk is responsible for monitoring the implementation of RAF across the Group through the Risk Appetite dashboard will be presented to the GRC and BRCC on quarterly basis. The policies with regard to the management of breaches are as follows:

Any breaches of Tier 1 level metrics will be reported as follows:
− Breach of a Primary Metric will be reported to GRC and BRCC
− Any significant adverse movement of a Monitoring Metric will be reported to BRCC or GRC as deemed appropriate by the GCRO

Any breaches of Tier 2 and Tier 2.5 level metrics will be escalated as follows:
− Breach of a Primary Metric will be reported to the Group Risk Committee (GRC) and Local Branch Risk Committee.
− Any significant adverse movement of a Monitoring Metric will be reported to the respective committee or Head of the respective unit as deemed appropriate by the GCRO.

Mitigating actions for breaches will be undertaken as per the decisions taken at the respective forum (as mentioned above). At a broad level, the Group will employ the following techniques to mitigate and control risks:
− Liquidation of position – Exposures that are contrary to meeting Group's risk appetite, return targets, and capital requirements are liquidated at the time as deemed necessary, and at a minimum cost.

Classified : Public

− Hedging – An appropriate hedge may be taken to control the Group's exposure.
− Other measures as deemed appropriate.

Stress testing

In line with international best practices, FAB has a comprehensive stress testing framework in place, which is governed by the ICAAP Policy and Pillar II & Stress testing Methodology, approved by GRC and BRCC. The Group conducts regular stress test exercises to assess the resilience of the group to adverse market developments under stress scenarios. The risk factors are shocked using the assumptions made under the respective scenarios and the corresponding impact on the capital adequacy is determined. The Group uses various macroeconomic and idiosyncratic stress tests in order to project capital need and capital levels under various stress scenarios. Majority of the asset book (which includes lending and investment portfolios) as well as key risks like credit risk, market risk, operational risk, liquidity risk, interest rate risk, concentration risk etc. are covered in the stress testing exercise. The stress testing is perceived as an important tool in internal capital planning.

FAB Group also undertakes stress testing exercise as mandated by Central bank of UAE as part of CBUAE Financial Stability Unit's (FSU) Stress testing exercise as well as part of ICAAP report on an annual basis.

The stress test results during 2021 shows that the Group has adequate capital even under adverse scenarios.

Risk Mitigation

The Group has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees/ insurance. The types of Credit Risk Mitigation (CRM) include netting agreements, collaterals, guarantees, credit derivatives and Stand by Letter of Credit (SBLC). The Group ensures that all documentation used in collateralized transactions and for documenting on and off-balance sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. The Group also ensures that all the documents are reviewed by appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

Classified : Public

2.3 OV1: Overview of RWA

All numbers in AED 000s

		RWA	Minimum capital requirements
		31-Dec-21	31-Dec-21
1	Credit risk (excluding counterparty credit risk)	456,928,709	47,977,514
2	Of which: standardised approach (SA)	456,928,709	47,977,514
3	Counterparty credit risk (CCR)	14,211,386	1,492,195
4	Of which: standardised approach for counterparty credit risk	14,211,386	1,492,195
5	Equity investments in funds - look-through approach	-	-
6	Equity investments in funds - mandate-based approach	5,197,921	545,782
7	Equity investments in funds - fall-back approach	-	-
8	Settlement risk	-	-
9	Securitization exposures in the banking book	719,389	75,536
10	Of which: securitization external ratings-based approach (SEC-ERBA)	719,389	75,536
11	Of which: securitization standardised approach (SEC-SA)	-	-
12	Market risk	69,423,094	7,289,425
13	Of which: standardised approach (SA)	69,423,094	7,289,425
14	Operational risk	32,514,765	3,414,050
15	**Total (1+3+5+6+7+8+912+14)**	**578,995,264**	**60,794,503**

Base capital requirement as per CBUAE guidelines is 10.5% for total capital adequacy ratio

Classified : Public

3. Linkages between financial statements and regulatory exposures

3.1 LI1: **Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories**

All numbers in AED 000s

	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items:				
			Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to market risk framework	Not subject to capital requirements or subject to deduction from capital
Assets							
Cash and balances with central bank	258,778,449	258,778,449	258,778,449	-	-	-	-
Investments in associates and joint ventures	75,745	51,111	51,111	-	-	-	-
Investments in commercial subsidiaries	-	456,949	456,949	-	-	-	-
Dues from commercial subsidiaries	-	7,320,191	7,320,191	-	-	-	-
Investments at fair value through profit or loss	45,572,252	45,572,252	8,813,658	-	-	36,758,594	-
Derivative financial instruments	24,273,766	24,273,766	-	24,273,766	-	-	-
Due from Banks and Financial Institutions	19,325,594	19,325,594	19,325,594	-	-	-	-
Loans, advances and Islamic financing	410,154,614	410,154,614	410,154,614	-	-	-	-
Reverse repurchase agreements	46,260,645	46,260,645	46,260,645	-	-	-	-
Non-trading investments	145,399,645	145,399,645	141,605,916	-	3,793,729	-	-
Investment properties	6,962,576	-		-	-	-	-
Property and equipment	5,748,574	5,740,912	4,060,427	-	-	-	1,680,485
Intangibles	19,440,403	19,440,403		-	-	-	19,440,403
Other assets	18,351,114	17,719,312	17,620,255	-	-	-	99,056
Total Assets	**1,000,343,377**	**1,000,493,843**	**914,447,809**	**24,273,766**	**3,793,729**	**36,758,594**	**21,219,944**

Classified : Public

	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items:				
			Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to market risk framework	Not subject to capital requirements or subject to deduction from capital
Liabilities							
Due to Banks and Financial Institutions	56,985,180	56,985,180	-	-	-	-	56,985,180
Dues to commercial subsidiaries	-	361,491	-	-	-	-	361,491
Commercial paper	39,664,252	39,664,252	-	-	-	-	39,664,252
Customer accounts and Other deposits	614,459,265	614,459,265	-	-	-	-	614,459,265
Repurchase agreements	55,074,494	55,074,494	-	-	-	-	55,074,494
Term Borrowings	71,643,816	71,643,816	-	-	-	-	71,643,816
Subordinated Notes	448,908	448,908	-	-	-	-	448,908
Derivative financial instruments	28,395,085	28,395,085	-	-	-	-	28,395,085
Other liabilities	20,842,804	20,842,804	-	-	-	-	20,842,804
Total Liabilities	**887,513,804**	**887,875,295**	**-**	**-**	**-**	**-**	**887,875,295**

Classified : Public

3.2 LI2: Main sources of differences between regulatory exposure amounts and carrying values in financial statements

All numbers in AED 000s

		Total	Items subject to:			
			Credit risk framework	Securitization framework	Counterparty credit risk framework	Market risk framework
1	**Asset carrying value amount under scope of regulatory consolidation (as per template LI1)**	979,273,899	914,447,809	3,793,729	24,273,766	36,758,594
2	Liabilities carrying value amount under regulatory scope of consolidation (as per template LI1)	-	-	-	-	-
3	Total net amount under regulatory scope of consolidation	979,273,899	914,447,809	3,793,729	24,273,766	36,758,594
4	Off-balance sheet amounts* (including uncommitted facilities)	335,761,471	335,761,471	-	-	-
5	*Debt instruments collateralized under repurchase agreements*	55,522,823	55,522,823	-	-	-
6	*Total Potential Future Exposure (PFE)*	9,079,217	-	-	9,079,217	-
7	*Differences due to different netting rules and alpha factor under standarised approach (1.4x)*	(6,093,321)	-	-	(6,093,321)	-
8	*Differences due to consideration of provisions and IIS*	18,869,974	18,869,974	-	-	-
9	*Differences due to prudential filters*	-	-	-	-	-
10	**Exposure amounts considered for regulatory purposes**	**1,392,414,063**	**1,324,602,078**	**3,793,729**	**27,259,662**	**36,758,594**

* excluding Acceptances and Derivatives

Classified : Public

3.3 LIA: Explanations of differences between accounting and regulatory exposure amounts

Credit risk exposures reported under Basel III differ in respect of the following vis-à-vis financial statements:

- The difference between the carrying values reported in the financial statements and under the scope of regulatory consolidation primarily pertains to the deconsolidation of the commercial subsidiaries (namely FMI, ADNP, Mismak and FGP) under regulatory consolidation in accordance with the CBUAE Capital Adequacy Standards on Tier Capital Supply para 1. The investments in these entities are risk weighted in accordance with the Basel regulations and any intra group exposure to such entities are treated as third party loans for the purpose of risk weighting. The reserves and retained earnings in these companies is deducted from the Group capital.
- Goodwill and Intangible assets, Deferred Tax Assets are deducted from Capital and not considered under credit risk framework in accordance with the CBUAE Capital Adequacy Standards on Tier Capital Supply para 46-51.
- As per CBUAE Basel III framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into equivalent credit exposures in accordance with the CBUAE Capital Adequacy Standards on Credit Risk para 44-48.
- Acceptances reported under other assets in financial statements are considered as off-balance sheet exposures with 100% CCF for capital requirements calculations purpose in accordance with the CBUAE Capital Adequacy Standards on Credit Risk para 45(i).
- The Credit equivalent amount for derivatives is computed based on the Standardized approach for Counterparty Credit Risk wherein the Bank calculates EAD separately for each netting set, as the sum of the Replacement Cost (RC) of the netting set plus the calculated Potential Future Exposure (PFE) for the netting set, with the sum of the two multiplied by a factor of 1.4 in accordance with the CBUAE Capital Adequacy Standards on Counterparty Credit Risk para 8-11.
- Collective provisions are not netted off against the credit exposures but instead included in the Group's Tier 2 capital, capped at 1.25% of the Credit RWA in accordance with the CBUAE Capital Adequacy Standards on Tier Capital Supply para 31.
- Private equity exposures/commitments reported under FVTPL investments/Contingent assets in the financial statements are treated as Equity Investment in Funds for the purpose of capital calculations in accordance with the CBUAE Capital Adequacy Standards on Equity Investments in Funds and also certain strategic investments under FVTPL investments are considered as Equity investment in Banking book since they don't meet the Basel criteria for trading book exposures.
- Under the comprehensive credit risk mitigation approach, eligible collaterals are considered subject to regulatory haircuts to estimate and report net exposure in accordance with the CBUAE Capital Adequacy Standards on Credit Risk section IV.
- Pending integration of the Bank Audi Egypt systems, the exposure of the entity for capital adequacy purpose is consolidated based on their local CAR reporting.

Classified : Public

4. Composition of capital

4.1 CC1: Composition of regulatory capital

All numbers in AED 000s

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
	Common Equity Tier 1 capital: instruments and reserves		
1	Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	66,770,781	CC2 (f) + Proposed Scrip dividend*
2	Retained earnings	15,157,539	CC2 (i) less proposed dividend* + Prudential filter (Partial ECL addback)
3	Accumulated other comprehensive income (and other reserves)	11,477,854	CC2 (j)+(k)+(l)+(m)+(n) 55% haircut applicable to Fair value reserves (k)
4	*Directly issued capital subject to phase-out from CET1 (only applicable to non-joint stock companies)*	-	-
5	Common share capital issued by third parties (amount allowed in group CET1)	15,428	CC2 (o)
6	**Common Equity Tier 1 capital before regulatory deductions**	**93,421,602**	-
	Common Equity Tier 1 capital regulatory adjustments		
7	Prudent valuation adjustments	-	-
8	Goodwill (net of related tax liability)	17,712,647	CC2 (b)
9	Other intangibles including mortgage servicing rights (net of related tax liability)	3,408,241	CC2 (c) + (d)
10	Deferred tax assets that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)	99,056	CC2 (a)
11	Cash flow hedge reserve	-	-
12	Securitization gain on sale	-	-

Classified : Public

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
13	Gains and losses due to changes in own credit risk on fair valued liabilities	199,911	-
14	Defined benefit pension fund net assets	-	-
15	Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)	6,430	CC2 (h)
16	Reciprocal cross-holdings in CET1, AT1, Tier 2		
17	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-
18	Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-	-
19	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability)	-	-
20	Amount exceeding 15% threshold	-	-
21	Of which: significant investments in the common stock of financials	-	-
22	Of which: deferred tax assets arising from temporary differences	-	-
23	CBUAE specific regulatory adjustments	-	-
24	**Total regulatory adjustments to Common Equity Tier 1**	21,426,286	-
25	**Common Equity Tier 1 capital (CET1)**	**71,995,316**	-
	Additional Tier 1 capital: instruments		
26	Directly issued qualifying Additional Tier 1 instruments plus related stock surplus	10,754,750	CC2 (g)
27	OF which: classified as equity under applicable accounting standards	10,754,750	-
28	Of which: classified as liabilities under applicable accounting standards	-	-
29	*Directly issued capital instruments subject to phase-out from additional Tier 1*	-	-
30	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in AT1)	-	-

Classified : Public

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
31	*Of which: instruments issued by subsidiaries subject to phase-out*	-	-
32	Additional Tier 1 capital before regulatory adjustments	10,754,750	-
	Additional Tier 1 capital: regulatory adjustments		
33	Investments in own additional Tier 1 instruments	-	-
34	Investments in capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-
35	Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-
36	CBUAE specific regulatory adjustments	-	-
37	Total regulatory adjustments to additional Tier 1 capital	-	-
38	**Additional Tier 1 capital (AT1)**	**10,754,750**	-
39	**Tier 1 capital (T1= CET1 + AT1)**	**82,750,066**	-
	Tier 2 capital: instruments and provisions		
40	Directly issued qualifying Tier 2 instruments plus related stock surplus	-	-
41	*Directly issued capital instruments subject to phase-out from Tier 2*	269,345	CC2 (e) at 60% grandfathering
42	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 30) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	-	-
43	*Of which: instruments issued by subsidiaries subject to phase-out*	-	-
44	Provisions	5,963,218	Capped at 1.25% of CRWA
45	**Tier 2 capital before regulatory adjustments**	**6,232,563**	
	Tier 2 capital: regulatory adjustments		
46	Investments in own Tier 2 instruments	-	-
47	Investments in capital, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	-	-

Classified : Public

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
48	Significant investments in the capital, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-	-
49	CBUAE specific regulatory adjustments	-	-
50	**Total regulatory adjustments to Tier 2 capital**	-	-
51	**Tier 2 capital (T2)**	**6,232,563**	-
52	**Total regulatory capital (TC = T1 + T2)**	**88,982,629**	-
53	**Total risk-weighted assets**	**578,995,264**	-
	Capital ratios and buffers		
54	**Common Equity Tier 1 (as a percentage of risk-weighted assets)**	12.43%	-
55	**Tier 1 (as a percentage of risk-weighted assets)**	14.29%	-
56	**Total capital (as a percentage of risk-weighted assets)**	15.37%	-
57	**Institution specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of risk-weighted assets)**	4.01%	-
58	**Of which: capital conservation buffer requirement**	2.50%	-
59	**Of which: bank-specific countercyclical buffer requirement**	0.01%	-
60	**Of which: higher loss absorbency requirement (e.g. DSIB)**	1.50%	-
61	**Common Equity Tier 1 (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirement.**	4.87%	-
	The CBUAE Minimum Capital Requirement		
62	Common Equity Tier 1 minimum ratio	7.00%	-
63	Tier 1 minimum ratio	8.50%	-
64	Total capital minimum ratio	10.50%	-
	Amounts below the thresholds for deduction (before risk weighting)		

Classified : Public

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
66	Significant investments in common stock of financial entities	-	-
68	Deferred tax assets arising from temporary differences (net of related tax liability)	-	-
	Applicable caps on the inclusion of provisions in Tier 2		
69	Provisions eligible for inclusion in Tier 2 in respect of exposures subject to standardised approach (prior to application of cap)	7,159,746	-
70	Cap on inclusion of provisions in Tier 2 under standardised approach	5,963,218	-
	Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)		
73	*Current cap on CET1 instruments subject to phase-out arrangements*	-	-
74	*Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)*	-	-
75	*Current cap on AT1 instruments subject to phase-out arrangements*	-	-
76	*Amount excluded from AT1 due to cap (excess after redemptions and maturities)*	-	-
77	*Current cap on T2 instruments subject to phase-out arrangements*	269,345	-
78	*Amount excluded from T2 due to cap (excess after redemptions and maturities)*	179,563	-

"Proposed dividends are subject to share holders' approval at the Annual General Meeting".

Classified : Public

4.2 CC2: Reconciliation of regulatory capital to balance sheet

All numbers in AED 000s

	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	31-Dec-21	31-Dec-21	
Assets			
Cash and balances with central bank	258,778,449	258,778,449	
Due from Banks and Financial Institutions	19,325,594	19,325,594	
Investments at fair value through profit or loss	45,572,252	45,572,252	
Non-trading investments	145,399,645	145,399,645	
Investments in associates and joint ventures	75,745	51,111	
Investments in commercial subsidiaries	-	456,949	
Due from commercial subsidiaries	-	7,320,191	
Derivative financial instruments	24,273,766	24,273,766	
Investment properties	6,962,576	-	
Loans, advances and Islamic financing	410,154,614	410,154,614	
Reverse repurchase agreements	46,260,645	46,260,645	
Deferred tax assets	99,056	99,056	(a)
Other assets	18,252,058	17,620,255	
Goodwill and other intangible assets	19,440,403	19,440,403	
Of which: goodwill	17,712,647	17,712,647	(b)
Of which: intangibles (excluding MSRs)	1,727,756	1,727,756	(c)
Property and equipment	5,748,574	5,740,912	
Of which: Computer software	1,680,485	1,680,485	(d)
Total assets	**1,000,343,377**	**1,000,493,843**	
Liabilities			
Due to Banks and Financial Institutions	56,985,180	56,985,180	
Due to commercial subsidiaries	-	361,491	
Commercial paper	39,664,252	39,664,252	

Classified : Public

	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	31-Dec-21	31-Dec-21	
Customer accounts and Other deposits	614,459,265	614,459,265	
Repurchase agreements	55,074,494	55,074,494	
Term Borrowings	71,643,816	71,643,816	
Subordinated Notes	448,908	448,908	(e)
Derivative financial instruments	28,395,085	28,395,085	
Other liabilities	20,842,804	20,842,804	
Total liabilities	**887,513,804**	**887,875,295**	
Shareholders' equity			
Paid-in share capital	75,225,901	75,225,901	
Of which: amount eligible for CET1	64,477,581	64,477,581	(f)
Of which: amount eligible for AT1	10,754,750	10,754,750	(g)
Of which: Treasury shares	(6,430)	(6,430)	(h)
Retained earnings	22,849,243	22,638,218	(i)
Other reserves	14,739,001	14,739,001	
Of which: Statutory and special reserves	10,920,000	10,920,000	(j)
Of which: Fair Value reserve	1,366,215	1,366,215	(k)
Of which: General Value reserve	228,265	228,265	(l)
Of which: Foreign currency translation reserve	(535,023)	(535,023)	(m)
Of which: Share based payment	249,816	249,816	(n)
Of which: IFRS 9 reserve	2,509,728	2,509,728	
Non-controlling interest	15,428	15,428	(o)
Total shareholders' equity	**112,829,573**	**112,618,548**	

Classified : Public

4.3 CCA: Main features of regulatory capital instruments

		Quantitative / qualitative information
1	Issuer	First Abu Dhabi Bank PJSC
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	N/A
3	Governing law(s) of the instrument	English law
	Regulatory treatment	
4	Transitional arrangement rules (i.e. grandfathering)	Additional Tier 1
5	Post-transitional arrangement rules (i.e. grandfathering)	Eligible
6	Eligible at solo/group/group and solo	Group and Solo
7	Instrument type (types to be specified by each jurisdiction)	Perpetual Additional Tier 1 Capital Notes
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	Full amount under AT1 capital
9	Nominal amount of instrument	AED 4,000,000,000
10	Accounting classification	Subordinated perpetual debt (equity)
11	Original date of issuance	26-Feb-09
12	Perpetual or dated	Perpetual
13	Original maturity date	N/A
14	Issuer call subject to prior supervisory approval	Yes
15	Optional call date, contingent call dates and redemption amount	Call date: 26 February 2027, Redemption amount: Prevailing Principal Amount
16	Subsequent call dates, if applicable	N/A
	Coupons / dividends	(1) From (and including) the Issue Date (but excluding) the First Reset Date: 6.00 per cent. per annum; and (2) for each Reset Period, the aggregate of 2.3 per cent. per annum and the relevant EIBOR rate
17	Fixed or floating dividend/coupon	Please see above
18	Coupon rate and any related index	Please see above
19	Existence of a dividend stopper	Yes
20	Existence of step-up or other incentive to redeem	No

Classified : Public

21	Non-cumulative or cumulative	Non-cumulative
22	Convertible or non-convertible	Non-convertible
23	Writedown feature	Yes - Mandatory requirement for BIII compliant notes
24	If writedown, writedown trigger(s)	N/A
25	If writedown, full or partial	Depends on Regulator's decision
26	If writedown, permanent or temporary	Permanent
27	If temporary write-own, description of writeup mechanism	N/A
28a	Type of subordination	Conditional subordination
29	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Conditional and subordinated obligations – to the extent that the Solvency Conditions are not satisfied at the relevant time or if a bankruptcy order in respect of the Issuer has been issued by a court in the UAE, all claims of the Noteholders under the Notes will be extinguished and the Notes will be cancelled without any further payment to be made by the Issuer under the Notes.
30	Non-compliant transitioned features	N/A
31	If yes, specify non-compliant features	N/A

		Quantitative / qualitative information
1	Issuer	First Abu Dhabi Bank PJSC
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	N/A
3	Governing law(s) of the instrument	English law
	Regulatory treatment	
4	Transitional arrangement rules (i.e. grandfathering)	Additional Tier 1
5	Post-transitional arrangement rules (i.e. grandfathering)	Eligible
6	Eligible at solo/group/group and solo	Group and Solo
7	Instrument type (types to be specified by each jurisdiction)	Perpetual Additional Tier 1 Capital Notes
8	Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	Full amount under AT1 capital
9	Nominal amount of instrument	AED4,000,000,000
10	Accounting classification	Subordinated perpetual debt (equity)

Classified : Public

11	Original date of issuance	17-Mar-09
12	Perpetual or dated	Perpetual
13	Original maturity date	N/A
14	Issuer call subject to prior supervisory approval	Yes
15	Optional call date, contingent call dates and redemption amount	Call date: 17 March 2027, Redemption amount: Prevailing Principal Amount
16	Subsequent call dates, if applicable	N/A
	Coupons / dividends	(1) From (and including) the Issue Date (but excluding) the First Reset Date: 6.00 per cent. per annum; and (2) for each Reset Period, the aggregate of 2.3 per cent. per annum and the relevant EIBOR rate
17	Fixed or floating dividend/coupon	Please see above
18	Coupon rate and any related index	Please see above
19	Existence of a dividend stopper	Yes
20	Existence of step-up or other incentive to redeem	No
21	Non-cumulative or cumulative	Non-cumulative
22	Convertible or non-convertible	Non-convertible
23	Writedown feature	Yes - Mandatory requirement for BIII compliant notes
24	If writedown, writedown trigger(s)	N/A
25	If writedown, full or partial	Depends on Regulator's decision
26	If writedown, permanent or temporary	Permanent
27	If temporary write-own, description of writeup mechanism	N/A
28a	Type of subordination	Conditional subordination
29	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Conditional and subordinated obligations – to the extent that the Solvency Conditions are not satisfied at the relevant time or if a bankruptcy order in respect of the Issuer has been issued by a court in the UAE, all claims of the Noteholders under the Notes will be extinguished and the Notes will be cancelled without any further payment to be made by the Issuer under the Notes.
30	Non-compliant transitioned features	N/A
31	If yes, specify non-compliant features	N/A

Classified : Public

5. Macroprudential Supervisory measures

5.1 CCyB1: Countercyclical Buffer

The Bank's countercyclical capital buffer (CCyB) requirement reflects the geographic composition of its portfolio of credit exposures by applying country-specific CCyB rates to the qualifying credit exposures in the relevant country on a weighted average basis in accordance with the CBUAE Capital Adequacy Standards on Tier Capital Supply para 15.

All numbers in AED 000s

Geographical breakdown	Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets used in the computation of the countercyclical capital buffer		Bank-specific countercyclical capital buffer rate	Countercyclical buffer amount
		Exposure values	Risk-weighted assets		
Hongkong	1%	8,124,113	4,640,112		
Sum		8,124,113	4,640,112		
Total		1,392,414,063	578,995,264	**0.008%**	**46,401**

Classified : Public

6. Leverage ratio

6.1 LR1: Summary comparison of accounting assets vs leverage ratio exposure

All numbers in AED 000s

1	Total consolidated assets as per published financial statements[1]	1,311,663,851
2	Adjustments for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	(1,092,713)
3	Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference	-
4	Adjustments for temporary exemption of central bank reserves (if applicable)	-
5	Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	-
6	Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	-
7	Adjustments for eligible cash pooling transactions	-
8	Adjustments for derivative financial instruments[2]	27,259,662
9	Adjustment for securities financing transactions (ie repos and similar secured lending)[3]	34,476,778
10	Adjustments for off-balance sheet items (ie conversion to credit equivalent amounts of off-balance sheet exposures)	(218,747,222)
11	Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	-
12	Other adjustments	(21,219,944)
13	**Leverage ratio exposure measure**	**1,132,340,412**

[1]Total consolidated assets includes assets plus Off Balance Sheet items, consisting of uncommitted undrawn facilities which are taken at 0% CCF for the purpose of capital calculations, but 10% CCF for purpose of Leverage Ratio.

[2]Positive MTM has been taken under Adjustments for derivative financial instruments, and therefor removed from total consolidated assets section.

[3] Includes Repos and Reverse Repos, minus any repledged collaterals (not part of balance sheet).

Classified : Public

6.2 LR2: Leverage ratio common disclosure template

All numbers in AED 000s

		Dec'21	Sep'21
On-balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	967,860,182	951,134,760
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework	-	-
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)	-	-
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)	(46,260,645)	(42,954,386)
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Tier 1 capital)	-	-
6	(Asset amounts deducted in determining Tier 1 capital)	(21,219,944)	(21,262,227)
7	**Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)**	900,379,593	886,918,147
Derivative exposures			
8	Replacement cost associated with *all* derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting)	10,391,970	8,470,852
9	Add-on amounts for PFE associated with *all* derivatives transactions	9,079,217	9,753,451
10	(Exempted CCP leg of client-cleared trade exposures)	-	-
11	Adjusted effective notional amount of written credit derivatives	-	-
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-	-
13	**Total derivative exposures (sum of rows 8 to 12)**	27,259,662	25,514,024
Securities financing transactions			
14	Gross SFT *assets* (with no recognition of netting), after adjusting for sale accounting transactions	76,427,861	71,847,225
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)	-	-
16	CCR exposure for SFT assets	4,309,561	4,058,985
17	Agent transaction exposures	-	-
18	**Total securities financing transaction exposures (sum of rows 14 to 17)**	80,737,422	75,906,210

Classified : Public

		Dec'21	Sep'21
Other off-balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	342,710,957	351,430,276
20	(Adjustments for conversion to credit equivalent amounts)	(218,747,222)	(230,343,495)
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)	-	-
22	**Off-balance sheet items (sum of rows 19 to 21)**	123,963,735	121,086,781
Capital and total exposures			
23	**Tier 1 capital**	82,750,067	85,043,098
24	**Total exposures (sum of rows 7, 13, 18 and 22)**	1,132,340,412	1,109,425,162
Leverage ratio			
25	**Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)**	7.3%	7.7%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	N/A	N/A
26	CBUAE minimum leverage ratio requirement	3.5%	3.5%
27	**Applicable leverage buffers**		

FAB Group subsidiaries 'MISMAK', 'First Gulf Properties', 'First Merchant International' and 'Abu Dhabi National Prop.' have been deconsolidated.

Classified : Public

7. Liquidity

7.1 LIQA: **Liquidity risk management**

(a) Overview and Governance of liquidity risk management.

Liquidity risk is the risk of the Group not being able to generate sufficient cash flow at reasonable cost to meet expected and / or unexpected claims.

The Group Board of Directors (BOD) has the overall responsibility for ensuring that the liquidity risk of the FAB group is effectively managed. The BOD authorizes the Board Risk and Compliance Committee (BRCC) to have effective oversight and control of liquidity risk. The BRCC is responsible for defining the Liquidity Risk Appetite at the Group level and is set at a level to ensure compliance with extant local and Basel regulations and consistent with business strategy, risk capacity and liquidity / funding plans. BRCC has delegated discretionary powers to the Group Asset Liability Committee (GALCO) for ongoing liquidity risk management.

The liquidity risk strategy of the bank is to ensure that the Group remains adequately liquid by always ensuring a sustainable balance of liquid assets to meet expected and contingent outflows. This is done through adherence with Basel III guidelines on LCR and NSFR. In addition, the Bank also manages liquidity risk through a range of internal measures like cash flow mismatches, concentrations, diversified funding sources etc.

(b) Funding strategy

Bank's funding strategy is developed with the objective to maintain adequate liquidity buffers for liquidity management, ensure appropriate diversification of funding sources, maintain suitable lines of credit with other institutions, in order to mitigate reliance on volatile funding sources during stressed market conditions, ensure adherence to all statutory, regulatory and internal limits, support the growth and sustainability of the Bank, in line with projections and budgets, managing funding cost et.al.

It ensures that there is diversification across funding products and counterparty types

(c) Liquidity risk mitigation techniques

Bank maintains adequate amount of High-Quality Liquid Assets (HQLA) to be able to meet its financial obligations under normal and stressed scenarios. Bank actively manages its market access, through strong relationships with both local and international market participants which can serve as a dependable funding source. Bank focuses on diversifying its funding sources and maintains ongoing relationship with key clients to manage its liquidity effectively.

(d) Stress testing

Stress testing is an integral part of Bank's liquidity risk management framework and is used to evaluate potential vulnerability to survive liquidity stress events. Stress testing provides forward looking assessments of risk, alerting the Bank to adverse unexpected outcomes related to a variety of severe but plausible shock scenarios – both idiosyncratic and systemic. Stress testing identifies key risk drivers that the

Classified : Public

group is exposed to and provides an indication of the level of liquid asset buffers that the Bank needs to hold if large shocks were to occur. The stress test is performed quarterly and the results are presented to GALCO.

(e) **Bank's contingency funding plans**

Bank's Contingency Funding Plan (CFP) is an essential tool to provide Early Warnings Indicators (EWI) of a potential stress event, thereby allowing the Bank sufficient time to take remedial actions to protect itself against liquidity risks. CFP clearly assigns roles and responsibilities to key individuals as well as defining procedures that should be followed in the event of a stress event. Thus, CFP ensures that FAB can continue to honor all its obligations and commitments, while also providing ongoing financial support and liquidity to its customers. EWI's are measured and reported to senior management frequently, additionally EWI's are assessed for their appropriateness and effectiveness on a regular basis.

(f) **Customised measurement tools or metrics** that assess the structure of the bank's balance sheet or that project cash flows and future liquidity positions, taking into account off-balance sheet risks which are specific to the bank.

Apart from the regulatory liquidity metrics that FAB complies to, FAB uses a number of internal metrics to manage its liquidity positions. Some of the metrics are liquidity gaps measured using maturity mismatch reports, intraday liquidity ratios, short/long term capital market funding ratios to ensure efficient funding mix, Max bucketed long term funding ratio to avoid cliff effect on account of significant long term funding maturing in any given year.

(g) **Concentration limits on collateral pools and sources of funding** (both products and counterparties)

Bank has set concentration limits on its different funding sources eg: Customer deposits, capital market funds, secured and unsecured money market borrowings et.al.

(h) **Liquidity exposures and funding needs** at the level of individual legal entities, foreign branches and subsidiaries, taking into account legal, regulatory and operational limitations on the transferability of capital.

Group operates with a requirement that all individual legal entities, foreign branches and subsidiaries are self-sufficient on their own funding needs. While all individual legal entities, foreign branches and subsidiaries endeavor to comply with this requirement, any shortfall in funding is implicitly guaranteed to be bridged by UAE entity as part of wider Group responsibilities. The intra group funding is managed within the ambit of local as well as parent regulations. Each center regularly monitors and reports its liquidity position to the local senior management through its own ALCO and the HO.

(i) **Balance sheet and off-balance sheet items** broken down into maturity buckets and the resultant liquidity gaps.

Reported in 45(b) liquidity risk section of the annual report

Classified : Public

7.2 LIQ1: Liquidity Coverage Ratio (LCR)

Liquidity Coverage Ratio (LCR) is a Basel III liquidity requirement. LCR's objective is to promote the short-term resilience of the bank's liquidity risk profile, by ensuring that banks have an adequate stock of unencumbered high-quality liquid assets (HQLA) to meet the liquidity needs for a 30-calendar day liquidity stress scenario. Basel III accord requires that banks maintain a minimum LCR of 100%. The ratio is calculated on FAB group level basis and is being used for regulatory reporting. As a response to minimize the effects of the pandemic in UAE, CBUAE reduced the LCR limit to 70% from 100%.

All numbers in AED 000s

		Total unweighted value (average)	Total weighted value (average)
High-quality liquid assets			
1	Total HQLA		**359,727,822**
Cash outflows			
2	**Retail deposits and deposits from small business customers, of which:**		
3	Stable deposits	55,703,667	2,785,183
4	Less stable deposits	38,528,996	3,852,900
5	**Unsecured wholesale funding, of which:**		
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	62,477,233	15,619,308
7	Non-operational deposits (all counterparties)	361,069,108	184,573,257
8	Unsecured debt	25,969,572	25,969,572
9	**Secured wholesale funding**		10,066,633
10	**Additional requirements, of which:**		
11	Outflows related to derivative exposures and other collateral requirements	9,340,461	9,340,461
12	Outflows related to loss of funding of debt products	-	-
13	Credit and liquidity facilities	216,092,876	50,987,556
14	**Other contractual funding obligations**	-	-
15	**Other contingent funding obligations**	43,441,354	2,172,068
16	**TOTAL CASH OUTFLOWS**		**305,366,937**
Cash inflows			
17	**Secured lending (eg reverse repo)**	19,050,549	5,790,041
18	**Inflows from fully performing exposures**	32,441,063	22,541,034

Classified : Public

		Total unweighted value (average)	Total weighted value (average)
19	Other cash inflows	7,117,430	7,117,430
20	TOTAL CASH INFLOWS		35,448,505
			Total adjusted value
21	Total HQLA		359,727,822
22	Total net cash outflows		269,918,432
23	Liquidity coverage ratio (%)		133.27%

Note : The number is average of three month end data points.

The main drivers for Bank's high LCR is significant investment in HQLA comprising cash and bank balances (Level 1) and liquid investments mostly in level 2A. The composition of HQLA is given in Table below

All numbers in AED 000s

Level 1	333,211,437
Level 2A	21,574,482
Level 2B	4,941,903

Level 1 assets which are regarded as having highest market liquidity (0% haircut in LCR) comprises more than 92% of the total HQLA. This ensures that the Bank is resilient to even severe disruption of market liquidity

The increase in LCR between two quarter is predominantly due to increase in banks HQLA portfolio.

The Group has consistently maintained a robust LCR with significant buffers over the regulatory minima as evident from the exhibit below showing the evolution since Dec'2020.

Classified : Public

All numbers in AED 000s

	31-Dec-21	30-Sep-21	30-Jun-21	31-Mar-21	31-Dec-20
Total HQLA	359,727,822	342,525,522	321,145,349	325,119,284	335,092,699
Total net cash outflow	269,918,432	268,090,129	239,547,440	221,860,531	237,389,080
LCR ratio (%)	133.27%	127.77%	134.06%	146.54%	141.16%

The main reason for the high LCR is the Bank's conscious strategy to preserve liquidity in the form of freely repatriable Central Bank placements at overnight notice.

Classified : Public

7.3 LIQ2: Net Stable Funding Ratio (NSFR)

Net Stable Funding Ratio (NSFR) is Basel III liquidity requirement. NSFR requires banks to maintain a stable funding profile in relation to the composition of their assets and off-balance sheet activities. Basel III accord requires that banks maintain a minimum NSFR of 100%. The ratio is calculated on FAB group level basis and is being used for regulatory reporting. As a response to minimize the effects of the pandemic in UAE, CBUAE reduced the NSFR limit to 90% from 100%.

All numbers in AED 000s

	(In currency amount)	Unweighted value by residual maturity				Weighted value
		No maturity*	<6 months	6 months to <1 year	≥1 year	
Available stable funding (ASF) item						
1	Capital:					
2	*Regulatory capital*	114,129,117	-	-	-	114,129,117
3	*Other capital instruments*	1,906	-	-	-	1,906
4	Retail deposits and deposits from small business customers:					
5	*Stable deposits*	51,955,710	6,673,295	1,106,723	379,388	57,125,454
6	*Less stable deposits*	34,637,140	4,969,606	4,824,069	153,338	40,141,072
7	Wholesale funding:					
8	*Operational deposits*	61,348,149	1	-	-	30,674,075
9	*Other wholesale funding*	131,761,547	344,092,734	27,629,181	14,396,922	183,938,337
10	Liabilities with matching interdependent assets	24,840,709	-	-	-	-
11	Other liabilities:	14,692,461	90,858,597	7,642,394	65,698,608	69,927,966
12	*NSFR derivative liabilities*					
13	*All other liabilities and equity not included in the above categories*	-	-	-	-	-
14	**Total ASF**					**495,937,928**
Required stable funding (RSF) item						
15	Total NSFR high-quality liquid assets (HQLA)					12,071,222

Classified : Public

(In currency amount)		Unweighted value by residual maturity				Weighted value
		No maturity*	<6 months	6 months to <1 year	≥1 year	
16	Deposits held at other financial institutions for operational purposes					
17	Performing loans and securities:					
18	*Performing loans to financial institutions secured by Level 1 HQLA*	-	5,127,333	95,727	903,834	1,464,431
19	*Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions*	3,677,130	35,654,949	13,442,389	20,245,090	32,910,582
20	*Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:*	8,627,541	76,724,725	35,194,692	189,548,909	222,711,980
21	*With a risk weight of less than or equal to 35% under the standardised approach for credit risk*	45,637	-	-	50,941,374	33,141,557
22	*Performing residential mortgages, of which:*	-	-	-	-	-
23	*With a risk weight of less than or equal to 35% under the standardised approach for credit risk*	-	-	-	280,495	182,322
24	*Securities that are not in default and do not qualify as HQLA, including exchange-traded equities*	-	-	-	-	-
25	Assets with matching interdependent liabilities					
26	Other assets:	64,935,951	4,312,427	505,493	1,281,714	71,035,586
27	*Physical traded commodities, including gold*					-
28	*Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs*				1,784,940	1,517,199
29	*NSFR derivative assets*				2,372,596	3,341,136

Classified : Public

(In currency amount)		Unweighted value by residual maturity				Weighted value
		No maturity*	<6 months	6 months to <1 year	≥1 year	
30	*NSFR derivative liabilities before deduction of variation margin posted*				12,420,354	2,484,071
31	*All other assets not included in the above categories*	2,367,997	36,511,310	8,244,115	39,877,019	62,653,234
32	Off-balance sheet items		265,812,906	-	-	30,822,348
33	***Total RSF***					**474,335,668**
34	***Net Stable Funding Ratio (%)***					**104.55%**

* Items to be reported in the "no maturity" time bucket do not have a stated maturity. These may include, but are not limited to, items such as capital with perpetual maturity, non-maturity deposits, short positions, open maturity positions, non-HQLA equities and physical traded commodities.

All numbers in AED 000s

	31-Dec-21	30-Sep-21	30-Jun-21	31-Mar-21	31-Dec-20
Total available stable funding	495,937,928	488,332,573	467,196,821	469,901,201	466,142,787
Total required stable funding	474,335,668	469,292,139	444,280,422	434,907,056	441,296,454
NSFR ratio (%)	104.55%	104.06%	105.16%	108.05%	105.63%

Bank consistently maintains its NSFR above the regulatory minima as evinced by the NSFR evolution in the table above. Bank constantly strives to improve its NSFR by managing a stable and efficient funding mix which is driven by the characteristics of its assets and off-balance sheet items including greater impetus to increase stable retail deposits.

Bank's major source of available stable funding is driven by its capital market funding and diversified customer deposit base, while the major consumption of its required stable funding is from its performing loans and investments held in its book.

In the calculation of NSFR, bank does not identify any asset/liability as interdependent.

Classified : Public

8. Credit risk

8.1 CRA: General qualitative information about credit risk

Definition

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans, advances and Islamic financing, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

FAB's approach to management of credit risk

Credit Risk Strategy & Appetite

Credit risk strategy complements FAB Group's business strategy, ensuring that a prudent credit risk profile is maintained at all times. FAB Group operates within a sound and well-defined criteria to ensure that an appropriate risk-return discipline is maintained. Due consideration is given to potential future changes in economic conditions and credit risk portfolio is subject to appropriate stress testing standards. Overall, credit limits are established at the level of individual counterparties, groups of connected counterparties, geographical regions, industries, sectors and other risk dimensions.

Credit risk appetite is articulated at the Group level as part of Risk Appetite Framework (RAF) and cascaded down to the segments which are in alignment with the way the Group conducts its business and support activities. All the key stakeholders including Business Functions, Control Functions (Credit and Risk) are included in the development process to ensure that the credit risk appetite is developed in alignment with the business strategy and intended risk profile and applicable regulatory requirements.

Identification and assessment

Credit risk identification and assessment at FAB Group is carried out through a comprehensive mechanism comprising three levels of defense. The first level of defense lies with the business units and is responsible for maintaining a sound credit quality of Assets in line with the approved business strategy and credit risk appetite. The second level of defense is with the Group Credit Unit that assesses the risk on a customer and facility level and ensures proper documentation of customer, facility and security documents along with Group Risk management unit that assesses credit risk on a portfolio basis and maintains credit risk policies and credit risk rating models up to date. Internal Audit acts as a third level of defense with regular reviews of credit analysis and the risk functions to check the compliance with policies and procedures of the Group. The unit also reviews the policy documents on a regular basis.

Mitigation

Classified : Public

The Group has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees/ insurance. The types of Credit Risk Mitigation (CRM) include netting agreements, collaterals, guarantees, credit derivatives and Stand by Letter of Credit (SBLC). The Group ensures that all documentation used in collateralized transactions and for documenting on and off-balance sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. The Group also ensures that all the documents are reviewed by appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

Monitoring and Reporting

As a part of credit risk monitoring and control framework, regular risk monitoring at both individual and portfolio levels is carried out along several parameters which include credit quality, provisioning levels, exposure limits across several dimensions, financial and operating performance, account conduct, end use of funds, adequacy of credit risk mitigants, adherence to financial and non-financial covenants, recovery performance, rating system performance among others.

Classified : Public

8.2 CR1: Credit quality of assets

All numbers in AED 000s

		Gross carrying values of		Allowances / Impairments	Of which ECL accounting provisions for credit losses on SA exposures		Net values (a+b-c)
		Defaulted exposures	Non-defaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General	
1	Loans	16,969,304	406,413,400	13,228,091	8,197,241	5,030,851	410,154,613
2	Debt securities	-	144,472,660	109,509	-	109,509	144,363,151
3	Off-balance sheet exposures	1,196,934	215,446,660	823,596	422,572	401,023	215,819,999
4	**Total**	**18,166,239**	**766,332,720**	**14,161,196**	**8,619,813**	**5,541,383**	**770,337,763**

Numbers in line with Note 45 (a), Page 89 of Consolidated Financial Statements.

Classified : Public

8.3 CR2: **Changes in stock of defaulted loans and debt securities**

All numbers in AED 000s

1	**Defaulted loans and debt securities at the end of the previous reporting period**	15,845,055
2	Net Loans and debt securities that have defaulted since the last reporting period	3,203,167
3	Defaulted loans and debt securities acquired during reporting period	432,786
4	Amounts written off	2,511,704
5	Other changes	0
6	**Defaulted loans and debt securities at the end of the reporting period (1+2+3-4±5)**	16,969,304

Classified : Public

8.4 CRB: **Additional disclosure related to the credit quality of assets**

Definition of default

FAB follows CBUAE guidelines as enumerated in their circular 28/2010, for classification of assets. FAB has a well-defined documented approved process based on which loans are classified.

For non-retail segment, a default is considered to have occurred when the obligor is past-due more than 90 days on any material credit obligation or FAB Group considers that the obligor is unlikely to pay its credit obligations to itself in full. However, if there is enough evidence that the DPD criteria for a specific facility is not the best indication of impairment, the bank classifies the said loan or facility to an alternate category based on expert judgment and appropriate approvals.

For some off-balance sheet exposures such as bank guarantees, letters of credit etc are treated as impaired if the bank believes it is likely they will be called upon and the customer will not be able to meet these commitments.

For Retail, default is governed by the days past due and will be measured by the number of days the payment is overdue. A facility or any material credit obligation to the group is considered as default when it is more than 90 days past due.

Impairment

The Group incorporates forward-looking information into the assessment of the credit risk of an instrument has increased significantly since its initial recognition and the measurement of Expected Credit Loss (ECL). The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses.

The Bank recognises loss allowances for Expected Credit Loss (ECL) on the following financial instruments that are not measured at fair value through profit or loss (FVTPL):

- balances with central banks;
- due from banks and financial institutions;
- reverse repurchase agreements;
- financial assets that are debt instruments;
- loans, advances and Islamic financing;
- loan commitments issued; and
- financial guarantee contracts issued.

The Group measures loss allowances at an amount equal to lifetime ECL, except for debt investment securities that are determined to have low credit risk other financial instruments

Classified : Public

on which credit risk has not increased significantly since their initial recognition, which are measured as 12-month ECL

Credit loss allowances are measured using a three-stage approach based on the extent of credit deterioration since origination:

Stage 1 – Where there has not been a significant increase in credit risk ("SICR") since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used.

Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be impaired, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.

Stage 3 – Financial instruments that are considered to be impaired are included in this stage. Similar to Stage 2, the allowance for credit losses captures the lifetime expected credit losses.

The measurement of impairment losses across all categories of financial assets requires estimation of the amount and timing of future cash flows and collateral values and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances. The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies.

Rescheduling and Restructuring of Credit facilities

Credit facilities may sometimes require modification due to commercial reasons or credit related stress reasons. The motivation to consider rescheduling or restructuring of a Credit facility is to prevent the obligor from turning into an NPA if the business of the borrower is otherwise sound and capable of meeting commitments once modified.

Rescheduling refers to modification in the Credit facilities where such modification doesn't result in a present value loss to the Bank. Whereas restructuring refers to the modification in Credit facilities that results in present value loss to the bank as a result of reduced interest rate and/or principal amount.

Classified : Public

8.4.1 Gross Credit Exposure by Geographical Distribution

All numbers in AED 000s

Geographical Region	Loans	Debt Securities	Other Exposures	Total Funded	Commitments		Derivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk Exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
United Arab Emirates	298,881,133	52,372,777	48,555,730	399,809,640	32,127,167	6,488,401	226,024,225	3,439,468	8,948,285	107,329,071	49,982,021	65,418,707	**465,228,347**
GCC excluding UAE	29,639,590	24,956,436	32,084,061	86,680,087	7,545,282	1,632,483	107,237,538	1,581,203	2,022,208	6,509,898	3,377,017	7,031,707	**93,711,794**
Arab League (excluding GCC)	17,461,660	21,763,755	17,246,418	56,471,833	920,801	230,114	20,536,680	182,967	920,861	4,593,539	1,974,510	3,125,485	**59,597,318**
Asia	18,238,829	34,180,264	13,016,961	65,436,054	1,277,170	329,059	104,678,918	932,912	1,513,702	17,102,422	11,948,752	13,791,513	**79,227,567**
Africa	2,121,142	1,800,318	2,504,605	6,426,065	-	-	6,160,505	53,859	202,769	1,697,835	963,895	1,166,664	**7,592,729**
North America	9,604,164	18,995,757	117,860,668	146,460,589	1,595,320	319,064	3,670,339	44,284	50,326	10,373,669	5,290,830	5,660,220	**152,120,809**
South America	10,604,055	233,369	77,876	10,915,300	-	-	10,503,931	115,223	184,374	32,028	16,014	200,388	**11,115,688**
Caribbean	-	-	140,813	140,813	873,242	174,648	-	-	-	-	-	174,648	**315,461**
Europe	40,962,981	25,895,770	108,227,049	175,085,800	6,701,190	1,476,475	3,048,757,963	17,806,558	13,230,582	17,579,937	9,644,395	24,351,452	**199,437,252**
Australia	-	924,566	71,995	996,561	-	-	5,698,763	117,291	186,031	4,418	1,530	187,561	**1,184,122**
Others	1,269,764	-	1,042,816	2,312,580	367,300	73,460	-	-	-	13,304	2,676	76,136	**2,388,716**
Provisions & IIS	(18,628,704)	-	-	(18,628,704)	-	-	-	-	-	-	-	-	**(18,628,704)**
Total	**410,154,614**	**181,123,011**	**340,828,992**	**932,106,618**	**51,407,472**	**10,723,704**	**3,533,268,862**	**24,273,766**	**27,259,137**	**165,236,122**	**83,201,640**	**121,184,481**	**1,053,291,099**

Gross and Net Loans numbers in line with Note 8, Page 45 of Consolidated Financial Statements.
Numbers in line with Note 45 (a), Page 101 of Consolidated Financial Statements.
Other Exposures includes Balances with Central Bank, Due from banks & FI's, Reverse Repo Agreements and Other Assets.

Classified : Public

8.4.2 Gross Credit Exposure by Industry Segment

All numbers in AED 000s

Industry Segment	Loans	Debt Securities	Other exposures	Total Funded	Commitments		Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Agriculture, Fishing & Related activities	1,533,714	-	9,603	1,543,317	63	13	1,388,904	1,994	27,557	485,723	208,781	236,351	1,779,668
Crude Oil, Gas, Mining & Quarrying	28,185,459	4,666,104	473,348	33,324,911	13,188,126	2,639,104	10,603,706	214,372	252,513	5,115,468	2,696,216	5,587,833	38,912,744
Manufacturing	23,584,325	956,714	1,136,211	25,677,250	3,216,565	875,636	22,616,024	373,957	1,069,443	15,932,090	8,095,871	10,040,950	35,718,200
Electricity & Water	9,731,329	2,871,700	59,222	12,662,251	4,717,156	943,431	16,833,592	986,734	1,779,919	5,000,886	3,746,614	6,469,964	19,132,215
Real Estate & Construction	105,380,159	1,815,592	396,329	107,592,080	8,639,607	1,728,816	24,978,810	271,282	557,805	38,654,556	19,692,222	21,978,843	129,570,923
Trade	25,374,643	110,414	2,155,068	27,640,125	1,229,184	245,837	5,145,751	326,216	574,760	13,305,911	6,508,541	7,329,138	34,969,263
Transport, Storage & Communication	37,330,136	3,981,233	1,753,396	43,064,764	4,706,375	1,041,060	26,827,591	592,896	1,591,150	5,604,205	3,673,500	6,305,710	49,370,474
Financial Services	51,777,083	41,231,698	69,516,199	162,524,980	8,396,129	1,679,226	3,415,183,443	21,360,206	19,789,534	33,800,860	24,249,533	45,718,293	208,243,273
Other Services	26,628,230	-	151,527	26,779,757	2,856,405	659,360	8,134,207	144,288	1,552,345	14,649,984	7,169,111	9,380,815	36,160,572
Government (including public sector)	41,254,574	125,489,556	259,748,352	426,492,482	4,391,362	878,272	1,425,620	1,765	61,485	32,663,135	7,148,120	8,087,877	434,580,359
Retail / Consumer Banking	78,003,667	-	869,412	78,873,079	66,500	32,950	131,214	56	2,626	23,302	13,131	48,707	78,921,786
All Others	-	-	4,560,325	4,560,325	-	-	-	-	-	-	-	-	4,560,325
Provisions	(18,628,704)	-	-	(18,628,704)	-	-	-	-	-	-	-	-	(18,628,704)
Total	**410,154,614**	**181,123,011**	**340,828,992**	**932,106,618**	**51,407,472**	**10,723,704**	**3,533,268,862**	**24,273,766**	**27,259,137**	**165,236,122**	**83,201,640**	**121,184,481**	**1,053,291,099**

Gross and Net Loans numbers in line with Note 8, Page 45 of Consolidated Financial Statements.
Numbers in line with Note 45 (a), Page 101 of Consolidated Financial Statements.
Other Exposures includes Balances with Central Bank, Due from banks & FI's, Reverse Repo Agreements and Other Assets.

Classified : Public

8.4.3 Gross Credit Exposure by Residual Contract Maturity

All numbers in AED 000s

Residual Maturity	Loans	Debt Securities	Other exposures	Total Funded	Commitments		Derivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Less than 3 months	101,147,957	43,019,687	313,581,869	457,749,513	10,937,310	2,187,462	761,923,773	2,771,235	4,121,369	81,281,035	45,267,346	51,576,177	**509,325,690**
3 months to one year	68,757,723	31,043,270	20,145,743	119,946,736	38,176,095	7,829,527	1,275,506,299	2,189,976	3,741,031	33,185,536	18,870,573	30,441,131	**150,387,867**
One to five years	168,094,431	60,688,413	7,101,380	235,884,224	2,160,849	640,106	985,123,819	8,948,450	9,740,166	34,522,068	13,741,550	24,121,823	**260,006,047**
Over five years	90,783,207	46,371,641	-	137,154,848	133,218	66,609	510,714,971	10,364,105	9,656,570	16,247,482	5,322,171	15,045,350	**152,200,198**
Provisions	(18,628,704)	-		(18,628,704)	-	-	-	-	-	-	-	-	**(18,628,704)**
Grand Total	**410,154,614**	**181,123,011**	**340,828,992**	**932,106,617**	**51,407,472**	**10,723,704**	**3,533,268,862**	**24,273,766**	**27,259,137**	**165,236,122**	**83,201,640**	**121,184,481**	**1,053,291,098**

Gross and Net Loans numbers in line with Note 8, Page 45 of Consolidated Financial Statements.
Numbers in line with Note 45 (a), Page 101 of Consolidated Financial Statements.
Other Exposures includes Balances with Central Bank, Due from banks & FI's, Reverse Repo Agreements and Other Assets.

Classified : Public

8.4.4 Impaired Loans by Industry Segment

All numbers in AED 000s

Industry Segment	Overdue / Impaired Assets			ECL			Adjustments	
	Overdue	Stage 3	Total Funded	IIS	Stage 3	Stage 1 & 2	Writeoffs	Write Backs
Agriculture, Fishing & Related activities	2,294	3,918	6,212	1,018	1,807	2,938	22	-
Crude Oil, Gas, Mining & Quarrying		-	-	-	-	-	-	-
Manufacturing	177,121	932,828	1,109,949	165,432	498,367	184,570	185,496	-
Electricity & Water	19,984	258,526	278,510	52,856	166,729	479,801	166,242	-
Real Estate & Construction	2,441,581	10,653,730	13,095,312	3,192,456	3,264,673	2,435,865	33,833	-
Trade	702,718	3,194,154	3,896,872	549,623	1,881,828	289,863	11,390	-
Transport, Storage & Communication	598	284,599	285,197	66,108	128,085	43,415	323	-
Financial Services	98,673	900,733	999,406	71,474	313,069	97,523	20,793	-
Other Services	158,908	604,168	763,076	118,825	303,964	172,815	15,575	-
Government (including Public Sector)		5,458	5,458	26	5,856	26,612	-	-
Retail / Consumer Banking	2,964,123	5,531,804	8,495,927	1,182,794	1,632,862	1,297,449	2,080,154	-
All Others		-	-	-	-	-	-	-
Total	**6,566,000**	**22,369,918**	**28,935,918**	**5,400,613**	**8,197,241**	**5,030,850**	**2,513,827**	**-**

To mitigate credit risk emanated from impaired loans Bank hold various type of collateral in the form of lien over deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehicles, shipping vessels, aircrafts, etc. As of year end 2021, 66% of net impaired loans (AED 11.2B) are covered by a collateral coverage of up to 50%. The remaining 34% (AED 5.7B) impaired loans have a collateral coverage of 51% and above.

Impaired Loans and ECL numbers in line with Note 45 (a), Page 89 of Consolidated Financial Statements

IIS numbers in line with Note 8, Page 45 of Consolidated Financial Statements

Classified : Public

8.4.5 Impaired Loans by Geographical Distribution

All numbers in AED 000s

Geographical Region	Overdue / Impaired Assets				ECL		Adjustments	
	Overdue	Stage 3	Total Funded	IIS	Stage 3	Stage 1 & 2	Write offs	Write Backs
United Arab Emirates	5,565,214	18,720,308	24,285,522	5,105,871	6,058,193	4,057,368	2,195,969	-
GCC excluding UAE	276,247	1,064,205	1,340,451	163,394	739,562	160,392	85,922	-
Arab League (excluding GCC)	146,455	611,435	757,890	6,276	339,066	297,966	155,266	-
Asia	415,732	1,189,030	1,604,763	93,311	847,805	462,204	1,661	-
Africa	2,706	405	3,111	23	28	19,926	-	-
North America	294	650	944	-	54	4,441	-	-
South America		1,083	1,083	5	419	3,642	0	-
Caribbean		0	0	-	0	11	-	
Europe	159,352	782,799	942,151	31,734	212,110	24,698	75,009	
Australia		3	3	-	3	201	-	-
Total	**6,566,000**	**22,369,918**	**28,935,918**	**5,400,613**	**8,197,241**	**5,030,850**	**2,513,827**	**-**

To mitigate credit risk emanated from impaired loans Bank hold various type of collateral in the form of lien over deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehicles, shipping vessels, aircrafts, etc. As of year end 2021, 66% of net impaired loans (AED 11.2B) are covered by a collateral coverage of up to 50%. The remaining 34% (AED 5.7B) impaired loans have a collateral coverage of 51% and above.

Impaired Loans and ECL numbers in line with Note 45 (a), Page 89 of Consolidated Financial Statements

IIS numbers in line with Note 8, Page 45 of Consolidated Financial Statements

Classified : Public

8.4.6 Reconciliation of changes in Provisions for Impaired Loans

All numbers in AED 000s

	Description	
	Opening Balance of Provisions for Impaired Loans	12,438,416
Add:	Charge for the year	
	• Corporate, Retail Specific provisions	1,750,413
	• Corporate, Retail and International Division General provisions	844,945
	• Increase due to acquisition	465,389
Less:	Write-off of provisions for impaired loans	(2,271,072)
	Closing Balance of Provisions for Impaired Loans	13,228,091

Balance Write-off of AED 244,021K has been deducted directly from P&L

8.4.7 Aging Analysis of past-due exposures

All numbers in AED 000s

PDNI Segmentation	Dec 2021				
	<30	**31-60**	**61-90**	**90+**	**Grand Total**
Bank	*315,970*	*964,203*	*432,523*	*3,764,458*	**5,477,154**
Subsidiaries	*382,552*	*399,316*	*273,890*	*33,089*	**1,088,847**
Total	*698,522*	*1,363,519*	*706,413*	*3,797,547*	**6,566,001**

8.4.8 Breakdown of restructured exposures

All numbers in AED 000s

Not impaired	Impaired	Total
7,943,763	3,277,389	11,221,152

Numbers in line with Note 45 (a), Page 97 of Consolidated Financial Statements.

Classified : Public

8.5 CRC: Qualitative disclosure requirements related to credit risk mitigation techniques

Credit Risk Mitigation

Credit Risk Mitigation (CRM) is a method of reducing credit risk in an exposure, at facility level, by a safety net of realisable securities including approved third-party guarantees/ insurance. Such mitigants would compensate FAB Group in the event of credit risk related loss.

The following are the types of CRMs acceptable to FAB Group:

1) Collateral
2) Guarantees
3) Standby Letters of Credit (SBLC)
4) On-balance sheet netting
5) Credit derivatives

Collateral

Bank has in place system of controls, reviews and approvals to ensure effective collateral management. This includes minimum loan to value requirement for each facility, specific collateral requirement for lending specific portfolio, margin calls for treasury products and ensuring legal enforceability of contracts including perfection of security interests.

FAB Group Credit policy enumerates the detailed criteria to access the eligibility of collaterals. Following is the indicative list of assets/ instruments which are eligible to be treated as collateral.

- Cash on deposit (domestic and foreign currency) with FAB Group including certificates of deposit or comparable instruments
- Certificates of Deposit from other banks, with FAB Group lien recorded
- Commodities (preferably exchange traded), where permitted and where FAB Group has the necessary expertise to handle the same
- Debt securities issued by sovereigns and public-sector enterprises
- Debt securities issued by banks and corporate houses
- Equities
- Collective investment schemes or mutual funds
- Mortgages/Pledges on real estate)
- Asset-backed securities

FAB Group ensure that there are no major concentration risks due to the collateral accepted

Valuation of Collateral

Periodic valuation of the collateral helps FAB Group accurately understand the degree to which the collateral provided by the obligor mitigates the credit risk of the facility on an on-going basis. The Group adheres to the following policies for collateral valuation:

Classified : Public

- All collateral accepted by FAB Group are re-valued periodically so as to assess the extent to which the collateral mitigates the credit risk. The valuation methodology and frequency of revaluation depends on the type and nature of collateral (and the underlying asset classification of the facility). For exposures classified as non-performing assets, valuation and inspection may be done with a higher frequency as per the guidelines provided in CBUAE circular
- Valuation must be through any of the Bank's empaneled valuation companies and through a fair distribution logic taking into account expertise, service quality and business requirements.
- Valuation agencies to ensure that all properties are valued at "Market Value" and in accordance with the Royal Institution of Chartered Surveyors (RICS) valuation global standards.
- The bank has set up minimum standards for on-boarding external evaluators and surveyors, to standardize valuation methodologies, report templates, valuation fees and process.
- FAB Group computes haircuts associated with different types of collateral that are permitted for credit risk mitigation in line with the regulatory requirements

Guarantees

Guarantee given on behalf of obligor must represent a direct claim on guarantor and must be explicitly referenced to specific exposures. To be acceptable to FAB , the guarantee must have the following key characteristics:

- The risk rating of the guarantor should ideally be better than that of the obligor/counterparty whose exposure is guaranteed
- Guarantees issued should be binding on all parties and legally enforceable in all relevant jurisdictions.
- A guarantee should represent a direct claim on the guarantor once the obligor/counterparty has defaulted and must be explicitly referenced to specific exposures or a pool of exposures, so that the extent of the cover is clearly defined and incontrovertible
- Guarantee contracts should be irrevocable
- The creditworthiness of the guarantor normally should not be correlated or linked to the financial position of the obligor
- The guarantee should remain continuously effective until the facility covered by the guarantee is fully repaid or settled
- All guarantees must contain indemnity wording, so that if the primary obligations of the obligor fall away, the guarantor would allow FAB Group to be indemnified (i.e. the guarantee still remains valid, the enforceability of the underlying facility or transaction notwithstanding).

Standby Letter of Credit

FAB also accepts SBLC issued subject to Uniform Customs and Practices for Documentary Credits (UCP 500/ or any revised version like UCP 600) and International Standby Practices (ISP 98 or any revised versions), as Credit Risk Mitigation method.

Classified : Public

Netting

On-balance Sheet Netting : On-balance sheet netting is considered only for legally enforceable netting arrangements for loans and deposits, where there is a well-founded legal basis for concluding that the netting or offsetting agreement is enforceable.

Off-balance Sheet Netting : FAB Group may net transactions subject to novation under which any obligation between FAB Group and its counterparty to deliver a given currency on a given value date is automatically amalgamated with all other obligations for the same currency and value date, legally substituting one single amount for the previous gross obligations.

Following transactions/instruments are eligible for off- and on-balance sheet netting provided the netting eligibility conditions have been met:

- Mutual claims between FAB Group and the obligor/counterparty
- Reciprocal cash balances between FAB Group and the counterparty
- Repurchase transactions
- Securities or commodities lending or borrowing transactions
- Other capital market-driven transactions with a counterparty
- Forwards, swaps, options and other derivative instruments.

Derivatives

Credit derivatives are financial contracts designed to transfer credit risk on loans and advances, investments and other assets/ exposures from one party (protection buyer) to another party (protection seller). Transfer of credit risk may be for the whole life of the underlying asset or for a shorter period. The transfer may be for the entire amount of the underlying asset or for a part of it.

A credit derivative may be referenced to a single entity or to a basket of several entities. Credit derivatives may also include cash instruments (e.g. credit linked notes) where repayment of principal is linked to the credit standing of a reference asset/entity.

Eligible types of Credit Derivatives

The credit derivatives can be broadly classified under the following four types and may range from plain vanilla to complex structures that may involve any combination of two or more of the following structures:

- Credit Default Swaps (CDSs)
- Total Return Swaps (TRSs)
- Credit Linked Notes (CLNs)
- Credit options.

Classified : Public

8.6 **CR3: Credit risk mitigation techniques**

All numbers in AED 000s

		Exposures unsecured: carrying amount	Exposures secured by collateral	Exposures secured by collateral of which: secured amount	Exposures secured by financial guarantees	Exposures secured by financial guarantees, of which: secured amount	Exposures secured by credit derivatives	Exposures secured by credit derivatives, of which: secured amount
1	Loans	338,501,539	64,513,197	26,001,014	7,139,877	6,224,352	-	-
2	Debt securities	144,363,151	-	-	-	-	-	-
3	**Total**	**482,864,690**	**64,513,197**	**26,001,014**	**7,139,877**	**6,224,352**	**-**	**-**
4	Of which defaulted	17,155,484	4,034,241	292,890	-	-	-	-

Classified : Public

8.7 CRD: Qualitative disclosures on banks' use of external credit ratings under the standardised approach for credit risk

In determining the risk weights in the standardized approach, FAB uses assessments by external credit assessment institutions recognized as eligible for capital purposes by the Central Bank in accordance with the criteria defined in the Guidance on Recognition of External Credit Assessment Institutions (ECAI).

In accordance with CBUAE Basel II guidelines, FAB uses Credit Ratings assigned by Fitch, Moody's and Standard and Poor's (S&P) for determining the risk weights of Sovereigns, Public Sector Entities, Multilateral Development Banks, Banks and Securities Firms and Corporate exposures.

The bank follows the "Second-Best Approach" when applying a rating to a counterparty as it enables a consistent ratings view across the portfolio. In the case of Bonds / Equities, bank takes the Bloomberg ISIN's Issue Rating into consideration for the calculation methodology. Standardized approach risk weights corresponding to the Credit Ratings assigned by these ECAIs have been prescribed by CBUAE for different asset classes as follows:

Sovereigns: The UAE Sovereign asset class consists of exposures to Federal and Emirates governments. Federal Government includes all the UAE Federal entities and Central Bank of the UAE. Emirates Governments' exposures include exposures to the Ruler and the Crown Prince of each emirate, as well as exposures to the ministries, municipalities, and other Emirates government departments which receive 0% risk weight along with exposures to other GCC sovereigns and their central banks if the exposures are denominated and funded in the domestic currency of that sovereign and the Supervisory authority of that sovereign has adopted such preferential treatment. Exposures in currencies other than AED or USD and claims on other sovereigns and central banks that do not meet above criteria are risk weighted as per table provided.

Banks: A bank exposure is defined as a claim on any financial institution that is licensed to take deposits from the public and is subject to appropriate prudential standards and level of supervision. No claim on an unrated bank receives a risk weight lower than that applied to claims on its sovereign of incorporation.

Security Firms: Exposures to security firms are treated as claims on banks if these firms are subject to prudential standards and a level of supervision that is equivalent to those applicable to banks. Otherwise, such claims follow the rules for claims on corporates.

MDBs: Exposures to MDBs are treated similar to claim on banks, but without using the preferential treatment for short term claims. However, highly rated MDBs, which meet certain criteria specified below, are eligible for a preferential 0% risk weight.

Corporates: Claims on corporates to be risk- weighted based on the entity's external credit rating assessment based on below table.

Government Related Entities (GREs) / Public Sector Entities (PSEs): PSEs include the following categories:

Classified : Public

(i) Non-Commercial PSEs; and
(ii) Other PSEs including commercial PSEs (Government Related Entity GRE) i.e., commercial PSEs that are fully owned or more than 50% in ownership by the UAE government). Non-Commercial PSEs that are acknowledged by the Central Bank are treated as Claims on Bank (long term). The Central Bank issues a GRE list to banks on a regular basis that the Central Bank considers Non-Commercial PSEs that qualify for this treatment. Exposure to all other PSEs that are not included on the Central Bank's list are treated like exposures to corporates.

Alphanumerical scale of each of the Rating Agency along with respective risk buckets is showcased in below table:

Assessments			**Risk Weights**				
					Banks		
S&P / FITCH	MOODY	CAPITAL INTELLIGENCE	Sovereign	MDB / PSE	Mat. > 3 months	Mat. ≤ 3 months *(Domestic currency only)*	Corporate / GREs
AAA to AA-	Aaa to Aa3	AAA	0%	20%	20%	20%	20%
A+ to A-	A1 to A3	AA to A	20%	50%	50%	20%	50%
BBB+ to BBB-	Baa1 to Baa3	BBB	50%	50%	50%	20%	100%
BB+ to BB-	Ba1 to Ba3	BB	100%	100%	100%	50%	100%
B+ to B-	B1 to B3	B	100%	100%	100%	50%	150%
CCC+ and below	Caa1 and below	C and below	150%	150%	150%	150%	150%
Unrated	Unrated	Unrated	100%	50%	50%	20%	100%

Classified : Public

8.8 CR4: Standardized approach - credit risk exposure and Credit Risk Mitigation (CRM) effects

All numbers in AED 000s

		Exposures before CCF and CRM		Exposures post-CCF and CRM		RWA and RWA density	
	Asset classes	**On-balance sheet amount**	**Off-balance sheet amount**	**On-balance sheet amount**	**Off-balance sheet amount**	**RWA**	**RWA density**
1	Sovereigns and their central banks	394,753,958	87,693,856	393,449,399	8,035,242	23,297,005	5.8%
2	Public Sector Entities	73,767,895	30,921,390	68,404,826	12,478,400	49,197,207	60.8%
3	Multilateral development banks	780,067	59,271	568,870	59,271	242,521	38.6%
4	Banks	136,190,703	36,788,613	60,526,131	28,425,763	42,625,012	47.9%
5	Securities firms	19,856,037	1,159,869	7,957,012	1,095,346	6,402,644	70.7%
6	Corporates	161,142,282	202,528,041	137,085,410	60,467,879	191,155,795	96.8%
7	Regulatory retail portfolios	52,472,137	937,166	47,892,647	440,769	40,712,340	84.2%
8	Secured by residential property	20,154,595	-	19,449,696	-	13,110,562	67.4%
9	Secured by commercial real estate	76,045,417	-	71,232,275	-	71,232,275	100.0%
10	Equity Investment in Funds (EIF)	-	-	-	-	-	
11	Past-due loans	12,090,588	886,738	11,567,092	872,533	16,087,929	129.3%
12	Higher-risk categories	-	-	-	-	-	
13	Other assets	55,366,472	7,648,948	55,380,997	7,634,423	17,076,804	27.1%
14	**Total**	**1,002,620,151**	**368,623,892**	**873,514,355**	**119,509,626**	**471,140,094**	**47.4%**

Classified : Public

8.9 CR5: Standardized approach - exposures by asset classes and risk weights

All numbers in AED 000s

	Asset classes \ Risk weight	0%	20%	35%	50%	75%	100%	150%	Others	Total credit exposures amount (post CCF and post-CRM)
1	Sovereigns and their central banks	361,834,990	18,559,750	-	3,084,988	-	17,929,615	75,297	-	401,484,641
2	Public Sector Entities	-	32,564,770	-	11,268,406	-	37,050,050	-	-	80,883,226
3	Multilateral development banks	170,476	-	-	430,288	-	27,378	-	-	628,141
4	Banks	-	19,772,145	-	51,794,021	-	12,679,098	231	4,706,399	88,951,893
5	Securities firms	-	-	-	5,299,429	-	3,752,929	-	-	9,052,358
6	Corporates	-	3,095,390	-	9,932,624	-	181,725,359	625,481	2,174,435	197,553,289
7	Regulatory retail portfolios	-	-	-	-	30,484,304	17,849,112	-	-	48,333,417
8	Secured by residential property	-	-	9,314,759	-	1,138,161	8,996,775	-	-	19,449,696
9	Secured by commercial real estate	-	-	-	-	-	71,232,275	-	-	71,232,275
10	Equity Investment in Funds (EIF)	-	-	-	-	-	-	-	-	0
11	Past-due loans	-	-	-	-	-	5,143,015	7,296,609	-	12,439,625
12	Higher-risk categories	-	-	-	-	-	-	-	-	0
13	Other assets	46,350,431	-	-	-	-	15,952,478	656,949	55,561	63,015,420
14	**Total**	**408,355,897**	**73,992,055**	**9,314,759**	**81,809,756**	**31,622,465**	**372,338,084**	**8,654,567**	**6,936,395**	**993,023,981**

Classified : Public

9. Counterparty credit risk

9.1 CCRA: Qualitative disclosure related to counterparty credit risk

Counterparty credit risk (CCR) is the risk that the bank's counterparty to a derivative transaction could default before the final settlement of the transaction's cash flows and bank will incur loss if the transaction has a positive economic value at the time of counterparty default. CCR is managed through limit framework put in place for both Pre-Settlement risk (PSR) and Settlement Risk (SR).

Bank uses SACCR method for capital estimation for CCR, where Exposure at Default (EAD) is calculated as sum of Replacement Cost (RC) & Potential Future Exposure (PFE) multiplied by regulatory defined multiplier. RC estimates current replacement cost of the derivatives transaction considering current market value, netting, and margining agreements in place. PFE estimates future exposure and calculated as notional multiplied by regulatory defined add-on, the size of the add-on depends on the trade remaining maturity and the underlying asset.

Bank policies are in place to reduce CCR risk by having International Swaps and Derivatives Association (ISDA) Master Agreement and Credit Support Annex (CSA) or equivalent agreements in place with as many counterparties as possible; the Bank prefers to deal with counterparties through a clearing house to minimize CCR. Counterparty limits are in place for all derivatives counterparties and limits are set considering counterparty risk profile.

Wrong Way Risk (WWR) arises when the exposure to one counterparty during the life of a transaction is adversely correlated to the counterparty's creditworthiness. This may be either due to the nature of the transaction itself (specific WWR) or to the market / macroeconomic factors that may affect the transaction or the counterparty or the counterparty sector in an unfavorable way (general WWR). WWR is identified and estimated to monitor CCR exposures.

Classified : Public

9.2 CCR1: Analysis of counterparty credit risk (CCR) exposure by approach

All numbers in AED 000s

	Replacement cost	Potential future exposure	EEPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
SA-CCR (for derivatives)	10,391,970	9,079,217		1.4	27,259,662	14,211,386
Simple Approach for credit risk mitigation (for SFTs)					-	-
Comprehensive Approach for credit risk mitigation (for SFTs)					-	-
Total						**14,211,386**

Classified : Public

9.3 CCR3: Standardized approach - CCR exposures by regulatory portfolio and risk weights

All numbers in AED 000s

Regulatory Portfolio \ Risk weight	0%	20%	50%	75%	100%	150%	Others	Total credit exposure
Sovereigns	17	-	2,126	5,623	-	124	-	7,890
Public Sector Entities (PSEs)	-	-	331,274	590,300	-	805,618	-	1,727,192
Multilateral development banks (MDBs)	59,271	-	-	-	-	-	-	59,271
Banks	-	-	2,542,899	10,455,243	-	948,467	-	13,946,609
Securities firms	-	-	-	978,003	-	52,242	-	1,030,245
Corporates	-	-	18,619	92,395	-	5,660,708	-	5,771,722
Regulatory retail portfolios	-	-	-	-	-	10,332	-	10,332
Secured by residential property	-	-	-	-	-	-	-	-
Secured by commercial real estate	-	-	-	-	-	-	-	-
Equity Investment in Funds (EIF)	-	-	-	-	-	-	-	-
Past-due loans	-	-	-	-	-	-	-	-
Higher-risk categories	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	**59,288**	**-**	**2,894,918**	**12,121,564**	**-**	**7,477,491**	**-**	**22,553,261**

Classified : Public

9.4 CCR5: Composition of collateral for CCR exposure

All numbers in AED 000s

	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
	Segregated	Unsegregated	Segregated	Unsegregated		
Cash - domestic currency	-	-	-	-	-	-
Cash - other currencies	151,624	5,477,218	8,442,287	5,041,100	853,377	318,969
Domestic sovereign debt	-	-	-	-	916,347	2,553,226
Other sovereign debt	-	375,193	-	375,193	22,265,826	14,749,997
Government agency debt	-	-	-	-	-	-
Corporate bonds	-	-	-	-	23,253,982	37,981,553
Equity securities	-	-	-	-	-	-
Other collateral	-	399,504	-	-	-	-
Total	**151,624**	**6,251,915**	**8,442,287**	**5,416,293**	**47,289,532**	**55,603,745**

Classified : Public

9.5 CCR6: Credit derivative exposures

All numbers in AED 000s

		Protection bought	Protection sold
Notionals			
	Single-name credit default swaps	10,644,978	10,502,183
	Index credit default swaps	9,481,073	9,314,679
	Total return swaps	-	-
	Credit options	-	-
	Other credit derivatives	-	-
Total notionals		**20,126,051**	**19,816,862**
Fair values			
	Positive fair value (asset)	40,670	564,507
	Negative fair value (liability)	(590,296)	(56,418)

Classified : Public

9.6 CCR8: Exposures to central counterparties

All numbers in AED 000s

		EAD (post-CRM)	RWA
1	**Exposures to QCCPs (total)**		94,128
2	Exposures for trades at QCCPs (excluding initial margin and default fund contribution); of which:	4,706,399	94,128
3	(i) OTC derivatives	4,706,399	94,128
4	(ii) Exchange-traded derivatives	-	-
5	(iii) Securities financing transactions	-	-
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	1,757,586	
8	Non-segregated initial margin	-	-
9	Pre-funded default fund contributions	-	-
10	Unfunded default fund contributions	-	-
11	**Exposures to non-QCCPs (total**		-
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contribution); of which:	-	-
13	(i) OTC derivatives	-	-
14	(ii) Exchange-traded derivatives	-	-
15	(iii) Securities financing transactions	-	-
16	(iv) Netting sets where cross-product netting has been approved	-	-
17	Segregated initial margin	-	
18	Non-segregated initial margin	-	-
19	Pre-funded default fund contributions	-	-
20	Unfunded default fund contributions	-	-

Classified : Public

10. Securitization

The Capital Adequacy Framework standards define certain activities as securitization transactions which attract capital requirements in accordance with the Securitization Framework. FAB has a few positions that meet the regulatory definition of a securitization and are in its banking book. FAB currently has positions as an investor only and not as an originator or sponsor. As per CBUAE framework, regulatory capital is required for banks' securitisation exposures, including those arising from the provision of credit risk mitigants to a securitisation transaction, investments in asset-backed securities, retention of subordinate tranches, and extension of liquidity facilities or credit enhancements.

As per the CBUAE framework securitisation exposures are to be risk-weighted under one of two available approaches for securitisation, the Securitisation External Ratings-Based Approach (SEC-ERBA) or the Standardized Approach (SEC-SA). A bank must use SEC-ERBA if the exposure has an external credit assessment that meets the operational requirements for an external credit assessment, or an inferred rating that meets the operational requirements for inferred ratings. If a bank cannot use the SEC-ERBA, the bank must use the SEC-SA. Banks that are unable to apply either approach a securitisation exposure must assign such an exposure a risk weight of 1250%. FAB currently uses the SEC-ERBA for its exposures. To use the SEC-ERBA FAB only uses external credit assessments from eligible external credit assessment institutions (ECAI) approved by CBUAE.

Classified : Public

10.2 SEC1: Securitization exposures in the banking book

All numbers in AED 000s

		Bank acts as originator				Bank acts as sponsor				Bank acts as investor			
		Traditional	Of which simple, transparent and comparable (STC)	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total
1	**Retail (total) - of which**	-	-	-	-	-	-	-	-	**3,793,729**		**-**	**3,793,729**
2	residential mortgage	-	-	-	-	-	-	-	-	3,716,683	-	-	3,716,683
3	credit card	-	-	-	-	-	-	-	-	-	-	-	-
4	other retail exposures	-	-	-	-	-	-	-	-	77,047	-	-	77,047
5	re-securitization	-	-	-	-	-	-	-	-	-		-	-
6	**Wholesale (total) - of which**	-	-	-	-	-	-	-	-	**-**	-	**-**	**-**
7	loans to corporates	-	-	-	-	-	-	-	-	-	-	-	-
8	commercial mortgages	-	-	-	-	-	-	-	-	-	-	-	-
9	lease and receivables	-	-	-	-	-	-	-	-	-	-	-	-
10	other wholesale	-	-	-	-	-	-	-	-	-	-	-	-
11	re-securitization	-		-	-	-		-	-	-		-	-

Classified : Public

10.3 SEC4: Securitization exposures in the banking book and associated capital requirements - bank acting as investor

All numbers in AED 000s

	Exposure values (by RW bands)					Exposure values (by regulatory approach)				RWA (by regulatory approach)				Capital charge after cap			
(AED '000s)	≤20% RW	>20% to 50% RW	>50 % to 100 % RW	>100 % to <952 % RW	952% RW	SEC - IRBA	SEC-ERBA and SEC-IAA	SEC-SA	952 %	SEC-IRBA	SEC-ERBA and SEC-IAA	SEC-SA	952 %	SEC-IRBA	SEC-ERBA and SEC-IAA	SEC-SA	952 %
Total exposures	3,793,729	-	-	-	-	-	3,793,729	-	-	-	719,389	-	-	-	75,536	-	-
Traditional securitization	3,793,729	-	-	-	-	-	3,793,729	-	-	-	719,389	-	-	-	75,536	-	-
Of which securitization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which retail underlying	3,793,729	-	-	-	-	-	3,793,729	-	-	-	719,389	-	-	-	75,536	-	-
Of which STC	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which STC	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which re-securitization			-	-	-			-	-			-	-			-	-
Synthetic securitization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which securitization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which re-securitization			-	-	-			-	-			-	-			-	-

Classified : Public

11. Market risk

11.1 MRA: General qualitative disclosure requirements related to market risk

Market Risk Overview

Market risk is the risk that the Group's income or capital will fluctuate on account of changes in the value of a financial instrument because of movements in market factors such as interest rates, credit spreads, foreign exchange rates and market prices of equity and commodity.

Market risk is managed through an effective control framework with 3 levels of defense. The first level is the Global Markets Group (GM) and Group Treasury (GT), the second level of defense is the Group Market & Liquidity Risk (GMLR) that establishes a comprehensive limit structure including exposure limits, sensitivities (risk limits) as well as Management Action Triggers (MATs). Group Internal Audit (GIA) forms the third level of defense and reviews the GM, GT & the GMLR on a regular basis for all their functions to check the compliance with documented policies & also check whether the policies are up to date

The Group separates its exposure to market risk between trading, investment, and non-trading portfolios. Trading and investment portfolios are held by the Global Markets Division and are managed on a fair value basis.

Investment Management Committee ("IMCO") is responsible for oversight and guidance to Global Markets' trading and investment activities. It ensures effective management of market risks in accordance with the principles laid down in the market risk management policy. IMCO acts as a sub-committee of Group Asset and Liabilities ("G-ALCO") which has the overall authority and responsibility to manage market risks.

Market Risk Group is responsible for the development and implementation of detailed market risk appetite, risk management methodologies and policies including the control framework that is reviewed by IMCO and submitted to G-ALCO and BRCC for approval.

Exposure to market risks

Market risk exposure within the Group's trading portfolios comprises mainly of investments at fair value through profit or loss and trading derivatives. Exposure to Market Risk in the banking portfolios mainly comprises of non-trading investments, reverse repurchase agreements and certain derivative instruments which are designated as hedging instruments. Overall, the market risk exposure arises primarily from the investment portfolios, interest rate gaps in the banking book and the Group's overall FX positions.

The principal analytical tool used to measure and control market risk exposure for trading and banking portfolios within the Group is Value at Risk ("VaR"). The VaR is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse

Classified : Public

market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a pre-defined holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchanges, interest rates, credit spread, commodities and equities. The overall structure of Trading and Banking book VaR limits is subject to review by the IMCO and G-ALCO prior to final approval by the Board. VaR limits are then cascaded down to respective desks.

Apart from the VaR limits, various other limits such as DV01, CS01, FX NoP and concentrations limits are monitored by the Market Risk Management unit.

Market risk organization and structure

The Market Risk Organization is schematically shown in figure below



The main responsibilities of Market risk management within the GMLR functions is reflected below:

Market Risk Appetite and Limits Framework

- Devising the limit framework within the market risk appetite defined by BRCC
- Promote the structure and hierarchy of limits assigned to different businesses
- Define Group Level market risk parameters such as Currencies, Geographies, Approved

Classified : Public

Products and key risk sensitivities

Market Risk Oversight

- Supervision, control and monitoring of market risk for GM, GT and International Hubs
- Oversee the day-to-day effectiveness of the Bank's market risk management and internal controls.
- Portfolio Risk Analysis (regular and ad-hoc) & explain market risk exposures - communicate to key stakeholders including the business, GCRO
- Execution of Delegated Authorities including approval to the creation of new portfolios for the business
- Execute delegated authorities on Limits.
- Provide requirements for stress test scenarios framework.
- Ensure that GM, GT and International hubs take on market risk exposures within approved risk limits, record limit breaches and escalate these to the authority levels defined in the Group Risk Appetite document

Market Risk Control

- Manage market risk report production processes
- Daily Risk reporting, limit monitoring and breach escalation if any.
- Report on a periodical basis Group Market Risk exposures to IMCO / GALCO / Board or other Group level Committees

Collateral Management & Client Services

- Validation of margin calls / seeking margins based on MTM price movements of underlying for GMRA and CSA
- Conform to international regulations (such as EMIR and HKMA) as and when they become applicable to FAB activities

Market risk Measures and systems

The primary system used by market risk management is Murex where all the trades are being booked by GM & GT. Most of the risk measures are calculated in the system and being used by Market risk unit for risk measurement and reporting along with other units within the bank. Murex is a front to back system which is integrated to FAB's core banking system.

The system used for Market risk capital calculation is ACM which takes the input data primarily from Murex and the resultant calculations are done by the system as per the CBUAE regulations.

Classified : Public

Defining suitable market risk measures which is central to an effective market risk management framework enables the process the setting the market risk appetite of the Bank

The measures of market risk for both trading and investments that are currently followed are:

- Value at Risk (VaR)
- Sensitivities - Overall and Bucketed depending on the nature of product
- Exposures based measures
- Net open positions (for FX)
- Concentration based measures
- Management action triggers (Stop loss MtM)

The idea of having multiple risk measures is that a single measure may not explain the risk profile in its entirety, therefore a series of measurers complements one another to give a more complete picture of risk.

The above measures would be across all portfolios, desks/ products, GM / GT level and overall Bank level and covering all risk factors like Interest rates and its volatilities, FX spots and volatilities, credit spreads/curves, commodities etc.

Market Risk Reporting

Risk Reporting is essential to facilitate communication of risk information to relevant recipients to enable effective oversight on various components of market risk management. In this sense, risk reports are concise, accurate, comprehensible, and timely. Reporting covers current position, dynamics of risk exposure through time and exceptions from policy prescriptions.

Market Risk Control within GMLR is responsible for preparing the reports and submits them to different stakeholders, as applicable. The list of reports and their contents are annually reviewed by the Head of Market & Liquidity Risk.

The market risk reports, inter-alia, cover the following:

i. Portfolio/Desk/GM/GT/Group utilizations vis-à-vis limits
ii. Risk analysis based on market factor movements
iii. Exception reports on limit breaches
iv. Stress testing assumptions and results.

Classified : Public

11.2 MR1: Market risk under the standardized approach (SA)

All numbers in AED 000s

	RWA
General Interest rate risk (General and Specific)	48,601,186
Equity risk (General and Specific)	130,817
Foreign exchange risk	10,045,978
Commodity risk	125,334
Options	
Simplified approach	-
Delta-plus method	10,519,778
Securitization	-
Total	**69,423,093**

Classified : Public

12. Interest rate risk in the banking book

12.1IRRBBA: IRRBB risk management objectives and policies

a	**A description of how the bank defines IRRBB for purposes of risk control and measurement**
	Interest Rate Risk in the Banking Book (IRRBB) refers to the current and prospective impact to the Bank's financial condition, from an earnings and economic value perspective, due to adverse changes in interest rates to which the Bank's balance sheet is exposed to. The earnings and economic value perspectives are measured through impacts on Net Interest Income (NII) and Economic Value of Equity (EVE)
b	**A description of the bank's overall IRRBB management and mitigation strategies. Examples are: monitoring of economic value of equity (EVE) and the net interest income (NII) in relation to established limits, hedging practices, conduct of stress testing, outcome analysis, the role of independent audit, the role and practices of the ALCO, the bank's practices to ensure appropriate model validation, and timely updates in response to changing market conditions.**
	Bank's Board of Directors is ultimately responsible for the risk management of the group. The Board through Board Risk and Compliance Committee (BRCC) delegates discretionary powers to the Group Asset Liability Committee (G-ALCO) for ongoing IRRBB management. G-ALCO establishes the policy framework, measurement methodologies, IRRBB risk limits, controls for monitoring and managing IRRBB. Additionally, G-ALCO reviews the IRRBB metrics and approves any hedging strategies proposed to mitigate IRRBB. Hedging of IRR is a dynamic process linked to assessment of market conditions vis-a-vis the risk exposure and any excess risk over the tolerable thresholds (limits) is macro-hedged through a range of balance sheet products (on balance sheet) and markets instruments including derivatives (off balance sheet). Bank has set up IRRBB risk limits both from an economic value (EVE / DV01) and earnings (NII) perspective. These metrics are measured over a range of Basel prescribed interest rate shock scenarios, internal interest rate shock scenarios and additional interest rate stressed scenarios. The methodology adopted for EVE measurement is in line with 2016 Basel guidelines Internal Audit Unit within the bank acts as the 3rd line of defense while performing regular Business audits. Additionally, the entire IRRBB framework, covering models, methodologies etc., used for IRRBB management are independently validated by external consultants.
c	**The periodicity of the calculation of the bank's IRRBB measures, and a description of the specific measures that the bank uses to gauge its sensitivity to IRRBB.**
	Bank regularly measures and monitors IRRBB risk metrics. The key standard measurements used across the Group are: - Economic Value of Equity based on Basel prescribed standardized interest rate shocks, internal interest rate shock scenarios and additional interest rate stressed scenarios. - Sensitivity to Net Interest Income (NII) over a 12 month horizon - Repricing GAP statement - DV01 IRRBB metrics are reported to G-ALCO on a monthly basis.
d	**A description of the interest rate shock and stress scenarios that the bank uses to estimate changes in the economic value of earnings.**
	The Basel prescribed 6 standardized interest rate shocks as per 2016 IRRBB guidelines are used for estimating EVE changes. Additionally, internal scenarios are defined depending on the market circumstances and their plausibility. These internal scenarios are approved by G-ALCO. Additional stress scenarios based upon historical market events and hypothetical scenarios to factor emerging risks are also used.

Classified : Public

e	**Modelling assumptions**
	Bank applies modelling assumptions in line with 2016 Basel's IRRBB guidelines. Modelling assumptions used by the Bank for internal assessment is in line with the IRRBB disclosures.
f	**A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment.**
	The Bank relies on natural hedges generated by interest rate sensitive assets & liabilities. Any residual risk exposure is hedged through the usage of derivatives such as Interest Rate Swaps, Cross Currency Swaps, Futures et.al. The derivative hedges classify as cash flow hedge or fair value hedge.
g	**Key modelling and parametric assumptions used in calculating ΔEVE and ΔNII**
	Bank excludes commercial margin from computation of EVE analysis both for cash flow estimation as well as discounting purposes for balance sheet products unless market prices of a product are readily available. Risk free rate curve as observed from cash, future and swap markets are used for discounting purposes. Repricing of non-maturing products is determined by overlaying Basel prescribed caps or management methodology of coupon payments, on the internal estimation of core / non-core balances based on their historical behavior. On prepayments, deposits are typically booked with short maturities to be rolled over and loans are predominantly aligned to market pricing on floating rate basis. Optionality emanating from explicit interest rates floors and caps embedded in balance sheet products are considered while calculating IRRBB measures.

1	Average repricing maturity assigned to NMDs - 2.2 Years
2	Longest repricing maturity assigned to NMDs 5.0 Years

Classified : Public

12.2 IRRBB1: Quantitative information on IRRBB

All numbers in AED 000s

	ΔEVE		ΔNII	
Period	**Dec -21**	**Dec -20**	**Dec -21**	**Dec -20**
Parallel up	4,365,393	5,825,836	2,313,299	2,076,578
Parallel down*	(4,365,393)	(5,825,836)	(2,313,299)	(2,076,578)
Steepener	3,149,631	2,305,236		
Flattener	(1,773,041)	(726,541)		
Short rate up	664,550	2,090,302		
Short rate down	(166,489)	(1,831,440)		
Maximum	(4,365,393)	(5,825,836)		
Period	**Dec -21**		**Dec -20**	
Tier 1 capital	82,750,067		77,763,070	

Note: Negative numbers indicates loss

**Including convexity and contractual caps/floor treatments, the loss is lesser at AED 3,472 Mn*

Classified : Public

13. Operational Risk

13.1 OR1: General qualitative information on a bank's operational risk framework

Operational Risk

Bank has adopted BASEL definition of Operational risk as risk of loss resulting from inadequate or failed internal processes, systems, and people or from external events and includes legal risk. Operational risk excludes strategic and reputational risk.

The FAB Group has developed a comprehensive framework of identifying, assessing, controlling, mitigating, monitoring, and reporting Operational risk and consists of the following:

- Ownership of the risk & controls by businesses and functional units.
- Monitoring and validation by business.
- Oversight by Group Operational risk management and
- Independent review by Internal Audit

Operational risk management follows three lines of defence model:

The first line of defence is the Business Line Management. The operational risk governance will recognize that Business Units (BUs) are the owners of risk and hence responsible for identifying and managing the risks, inherent in the products, services, and activities, within their BUs.

The second line of defence is the Group Operational Risk Management (GORM) function is responsible to design, implement, coordinate, report, and facilitate effective Operational Risk Management. Risk function has an independent reporting to Board through Board Risk Committee.

The third line of defence is the Internal Audit who are responsible to independently assess the effectiveness and efficiency of the internal control, and validate and provide an independent assurance to the Board Audit Committee (BAC) on the adequacy and effectiveness of the bank's Operational Risk Management Framework.

The Board, through the Board Risk Committee, has the overall responsibility for managing operational risk at the Bank and ensure that the three line of defence approach is implemented and operated in an appropriate and acceptable manner.

Bank has also formed Group Operational & Fraud Risk Committee (GOFRC). GOFRC is management level committee which has been delegated by Board Risk Committee / EXCO to provide oversight on all material operational risks, effective implementation of Group Operational Risk policy, procedures and framework, responses to risk issues and the adequacy and effectiveness of controls within a given operational risk control area.

Classified : Public

Operational Risk Management Framework

FAB's Operational Risk Management Framework is a set of interrelated tools and processes that are used to identify, assess, measure, monitor and remediate operational risks. Its components have been designed to operate together to provide a comprehensive approach to managing the bank's operational risks.

The Bank's operational risk management governance and framework is defined in the policy approved by Board. While the policy provides a broad framework, detailed standard operating procedures for operational risk management processes have also been established.

ORMF components include the roles and responsibilities for the Operational Risk management process and appropriate independent challenge, approach to setting Operational Risk appetite and adhering to it, the Operational Risk type and control taxonomies, the minimum standards for Operational Risk management processes including tools, independent governance, and the Bank's Operational Risk capital model. Tools implemented for the identification and assessment of Operational risk include and is not limited to:

a) Risk and Control Self-Assessment
b) Incident Management & Loss Recording
c) Key Risk Indicator Management
d) New Product Approval
e) Operational Risk Assessment of Projects (ORAP)
f) Review of Policy and Procedures
g) Operational Risk Reporting
f) Training and awareness to build and promote risk awareness culture

For facilitating effective operational risk management, the Bank has implemented a comprehensive operational risk management system. The application comprises various modules namely incident management, risk and control self-assessment, key risk indicators, , dynamic risk profiling and action tracking

Operational Risk Appetite

FAB's operational risk appetite articulates the boundaries for quantitative and qualitative operational risks that the Bank is willing to take (or not take), with respect to pursuit of its strategic objectives. It helps in setting the risk culture across the Bank and facilitates an effective implementation of the Bank's Operational Risk Management Framework. The operational risk appetite is applied for decision-making and comprehending operational risk exposures across the Bank through implementation of policies, controls, and operational risk tolerances.

Operational Risk Management Governance & Framework

The Bank has a comprehensive operational risk governance structure, in line with corporate governance requirements from the Central Bank of UAE. Group Head of Operational Risk

Classified : Public

reports to Chief Risk Officer who reports to Board through Board Risk Committee.

Capital Requirement for Operational Risk

In accordance with the Central Bank of UAE guidelines, Bank has adopted The Standardized Approach for computing capital charge for Operational Risk.

Reporting Framework

FAB recognizes the importance of risk reports which contributes to sound risk management and decision-making by their relevant recipients, including, the board, risk committees and senior management. Risk reports prepared by the Bank are meaningful and tailored to the needs of the recipients. Operational risk submits periodic reports to Board, risk committee and senior management.

Insurance

Bank has recognized the need for having robust insurance policies which act as risk mitigant against risks such as but not limited to infidelity, forgery & alterations, computer crime, director's liability, damage to property, professional indemnity, cyberattacks, etc. and provides support in financial losses incurred during such events.

Emerging Risk Identification

The impact of changes in the risk profile because of new products, strategic initiatives, material system/process changes and outsourcing activities are assessed & approved. Subsequently the identified operational risks are compared to the risk appetite statement for mitigation or acceptance. For risk mitigation there is systematic monitoring of the implementation of risk mitigation measures. Specific risks rated residually High & above need to be accepted by business and are validated by GORM and follows formal governance process (such acceptances are valid for a maximum for 12 months (or less) and the risks are revaluated until appropriately mitigated).

Additional functions, methodologies & tools implemented by the responsible second line risk functions are utilized to complement the Operational Risk Framework to address the specific risk types. These include but are not limited to:

a) Fraud Risk is managed based on local regulatory requirements and governed by Fraud risk management policy.

b) Business Continuity Management program outlines the relocation and recovery of operations in response to varying levels of disruption and periodically test the infrastructure and BCM plans to promote continuous services.

c) Outsourcing risks are managed & governed through Outsourcing Framework & Vendor Risk management (VRM) framework. The outsourcing risk is assessed for all outsourcing arrangements individually at onboarding and on-going basis in accordance with VRM and in line with Outsourcing policy and Operational Risk Policy.
d) Operational Risk in Technology is managed by Tech Risk functions and all applications and infrastructure are catalogued and assessed periodically. Stable monitoring of IT assets is

Classified : Public

established. All key outcomes of monitoring are used for further and on-going monitoring of technology risks.

Classified : Public

14. Remuneration Policy

14.1 REMA: Remuneration policy

Board REMCO

The Board Remuneration and Nominations Committee (REMCO) is responsible for the review of FAB's reward policy framework along with the oversight and approval of the rewards design methodology consistent with FAB's culture, values, business performance and risk strategy.

The Committee is composed of three (3) Board members with majority of the members considered independent non-executive directors, including the Chair. Along with other Board members, the REMCO also comprises the Group Chief Executive Officer of the Bank who attends the meeting of the REMCO as an Executive Member and the Group Chief Human Resources Officer of the Bank as a permanent attendee.

Remuneration Policy

The group remuneration policy is applicable to all employees of FAB group, including subsidiaries, associated companies managed by FAB and all international locations

Overview of Rewards Policy

The REMCO oversees the Group's Rewards framework and its application to Group Businesses. The Rewards framework in the Group follows the principles mentioned below:

- Ensure that the Rewards framework is market competitive and linked to Shareholder interest, the Group's business strategy and long-term goals.
- Ensure that rewards processes and decisions are fair, transparent and equitable.
- Ensure equitable pay and opportunity to all employees doing similar work, regardless of employment status, through a framework which is based on objective criteria and free from any bias on grounds of gender.
- Ensure strong linkage of individual's variable pay to Group's performance against strategic objectives as set out in the performance scorecard and individual performance.
- Ensure differentiated pay mix (fixed to variable ratio) for employees at different management levels and functions.
- Ensure that there are effective safeguards in place to align rewards policies with Group's risk appetite, regulatory / legislative requirements and appropriate control mechanisms / governance frameworks that the Group needs to comply with, as relevant in the geographies that it operates in.

Classified : Public

- Ensure that variable component of pay is earned every year and is not guaranteed, except in cases where the Group may cover financial loss that a prospective employee may incur at the time of joining the Group.
- Ensure that deferral of variable pay is introduced for payout amounts above a certain value and specific roles to tie recipients to the future performance of the Group.
- Allow cancellation / reduction of unvested deferred pay awards, subject to compliance with labour laws, for individuals who violate Group policies or engage in activities / misconduct that undermine the risk management of the Group.
- Ensure that individuals responsible for Control functions (Risk management, Legal, Compliance and Internal Control) are not remunerated in such a way that leads to conflicts of interest. The variable compensation for these employees should not be directly dependent on the results achieved by the business units, individual products or transactions that they monitor. This is achieved by ensuring that the BSC is appropriately structured and that KPIs that cause conflict of interest in the discharge of their responsibilities are avoided in the BSC.
- Ensure that Sales / Collections incentive schemes are linked to organizational priorities and approved by Finance, Risk, Compliance and HR Functions.
- All Rewards decisions in international locations are taken by the country representatives and relevant functional managers in consultation with each other in alignment with the Group's operating principles and in compliance with local regulations.
- No Executive in the Group is involved in deciding his/her own remuneration.

Remuneration Policy review

The Remuneration is reviewed regularly and at least on an annual basis basis and was last reviewed by the board REMCO for appropriateness in 2021. REMCO reviewed FAB's commitment under the policy to gender equality as a core principle that addresses equitable pay and opportunities to all employees doing similar work. REMCO also reviewed enhanced governance mechanism within the policy to address compliance to regulatory requirements in the various geographies in which FAB operates.

Rewards Framework

In line with our Rewards philosophy, our compensation structure contains a healthy mix of fixed and variable pay.

- **Fixed pay** is aligned to external market benchmarks to ensure that we attract the best in class talent by paying competitively. Other key features of our fixed pay are:
    - Gross salary is a fixed cash component that is paid monthly on a specific date of each month, dependent on the geographic location. This is typically comprised of Basic Salary and Allowances. Allowances may differ by geographic location, in line with local market practice and labour law.

Classified : Public

- Gross Salary is linked to the nature and relative size of job in the organization. The Group uses an established job evaluation methodology to ensure that all jobs are sized appropriately.
- Independent and globally credible sources are employed for the salary benchmarking process to ensure employee salaries are market competitive.
- The Group may, in its absolute discretion, conduct a fixed pay review and may award salary increases to its employees to maintain market competitiveness while ensuring transparency and fairness in compliance with the country specific labour laws. Decisions typically involve the following factors:
    - Organizational priorities and budget availability
    - Incumbent's performance
    - External market alignment
    - Internal equity

- **Variable pay** is linked to performance. Performance is tracked through the elements of the balanced scorecard (BSC) viz Financial, Customer, Process and People which align the interests of the employees with those of our stakeholders. To ensure sustainable growth, there is a strong emphasis in the balanced scorecard on 'how' the business growth is achieved in addition to 'what' was achieved. The key elements of the BSC include (but not limited to) Revenue, Net Profit, RoRAE, Liquidity Ratios, NPL, Cost to Income Ratio, Market Share, Process Maturity Metrics aligned to Strategy, adherence to Risk Appetite Framework, Budget adherence and Emiratisation indicators.
    - The Group's variable compensation may be structured through a combination of cash or non-cash instruments. Variable compensation is discretionary in nature and the framework for the same is approved by the REMCO for the year and is closely linked to a Balanced Score Card ("BSC") where multiple financial and non-financial measures are put in place. The framework used to define the quantum of variable pay available to the organization (or unit) is linked to Overperformance, on-target performance or under performance primarily against the relevant BSC. The base value of variable pay is based on a defined target level of variable pay. In the event of over performance, a pool higher than the target will be available and in the event of under performance a pool lower than the target pool will be available. The variable pay of the organization is discretionary in nature and is subject to multiple levels of internal governance to oversee the discretionary decisions.
    - The Group's variable compensation framework and employee eligibility to it is subject to change each year but considers:
        - Overall Risk/Reward Strategy and approach;
        - Group, Divisional and Individual Performance;
        - Budget availability
        - Country specific labour law and/or regulatory requirements
        - External benchmarks and Internal Equity

Classified : Public

- Individual Performance, as referred to above, is assessed against financial and non-financial measures (such as control and efficiency measures) and acts as input to determination of individual bonuses.
- Allocations are made to the Business Unit and the individual thereafter. There are multiple levels of validation which culminate in Senior Management sign off in order to ensure that all principles are adhered to.

- **Deferred bonus:** To ensure decisions making is rooted in long term sustainability of the organization, appropriate deferral mechanisms are applied on the variable pay. The deferrals are commensurate to the value of variable pay and reflect the level of decision making along with impact on the business outcomes. Part of the deferred variable pay is subject to organizational performance over the vesting period. In the event performance thresholds are not achieved, the performance based deferral for the year is subject to modification. In all cases, variable pay (paid and deferred amounts) is subject to claw-back and malus to ensure risk alignment. Other key features of FAB's deferred bonus scheme
  - The Group reserves the right to defer any part of an employee's variable compensation based on the criteria approved by the REMCO in alignment with the Risk appetite of the Group. Deferral may be applied on the basis of a pre-defined value or for certain specific roles.
  - The deferral period is linked to the medium-term strategy of the Group and is typically three years, with a certain percentage of the overall amount vesting every year. This is however, subject to change in line with change in Group strategy.
  - Payout of the deferred compensation is subject to the employee/ex-employee meeting the set payment criteria and the terms and rules.
  - Subject to applicable local legislation, the Group reserves the right to claw back from either unvested awards or paid awards, in the event the award was based on information determined to be materially inaccurate, where an act of the employee caused an adverse effect on the Group, or where a material failure of risk management has occurred.
  - The scheme uses a consistent methodology and thresholds for deferring variable pay across the bank barring in jurisdictions where local regulations require a different approach to be used.

The Bank's rewards philosophy and strategy aim to align itself with internationally accepted reward practices and with the current UAECB guidelines that underpin rewarding sustainable risk taking.

External consultants' advice

Classified : Public

The bank engages with multiple specialized HR consulting organizations like Korn Ferry Hay Group, Aon Mclagan and others. Such engagement are sought regularly to source market data, to advice on creation of competitive rewards frameworks and to ensure that the groups remuneration policy and practices are in line with market and compliant with regulatory requirements.

Material Risk Taker and Senior Managers

Employees reporting to the group CEO on a permanent basis (excl. administrative staff) have been classified as Senior Managers.

The group is currently in the process of defining and identifying the Material Risk Takers. The identification process will be based on qualitative and quantitative criteria and will be in line with the requirements of the CBUAE Corporate Governance regulations and standards. This process will be completed in 2022.

Classified : Public

14.2 REM1: Remuneration awarded during the financial year

All numbers in AED 000s

	Remuneration Amount (AED '000)		Senior Management	Other Material Risk-takers
1	Fixed Remuneration	Number of employees	12	-
2		Total fixed remuneration (3 + 5 + 7)	23,088	-
3		Of which: cash-based	23,088	-
4		Of which: deferred	-	-
5		Of which: shares or other share-linked instruments	-	-
6		Of which: deferred	-	-
7		Of which: other forms	-	-
8		Of which: deferred	-	-
9	Variable Remuneration	Number of employees	11	-
10		Total variable remuneration (11 + 13 + 15)	20,000	-
11		Of which: cash-based	15,150	-
12		Of which: deferred	4,850	-
13		Of which: shares or other share-linked instruments	-	-
14		Of which: deferred	-	-
15		Of which: other forms	-	-
16		Of which: deferred	-	-
17	**Total Remuneration (2+10)**		43,088	

Classified : Public

14.3 REM2: Special payments

Special Payments	Guaranteed Bonuses		Sign on Awards		Severance Payments	
(AED '000)	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount
Senior Management	-	-	1	122	1	340
Other material risk-takers	-	-	-	-	-	-

Note: Severance pay includes only values over and above the contractual requirements; payments that we were part of the contractual requirement such as notice period in lieu, gratuity, leave encashment have been excluded.

Classified : Public

14.4 REM3: Deferred remuneration

Deferred and retained remuneration (AED '000)	**Total amount of outstanding deferred remuneration**	**Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment**	**Total amount of amendment during the year due to ex post explicit adjustments**	**Total amount of amendment during the year due to ex post implicit adjustments**	**Total amount of deferred remuneration paid out in the financial year**
Senior management	-	-	-	-	-
Cash	13,241	13,241	-	40	5,118
Shares	-	-	-	-	-
Cash-linked instruments	-	-	-	-	-
Other	-	-	-	-	-
Other material risk-takers	-	-	-	-	-
Cash	-	-	-	-	-
Shares	-	-	-	-	-
Cash-linked instruments	-	-	-	-	-
Other	-	-	-	-	-
Total	**13,241**	**13,241**	**-**	**40**	**5,118**

Note: Deferred amount paid out in the financial year is bonus awarded in previous years vested in financial year

Classified : Public